ANNUAL COMPREHENSIVE FINANCIAL REPORT

FOR THE FISCAL YEAR ENDED JUNE 30, 2021





PLEASANT VALLEY
COMMUNITY SCHOOL DISTRICT
BETTENDORF, IA

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Annual Comprehensive Financial Report of the

Pleasant Valley Community School District
Bettendorf, Iowa

For the Fiscal Year Ended June 30, 2021

Official Issuing Report

Mike Clingingsmith, Chief Financial Officer

Office Issuing Report

Administration Center

Introductory Section

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Pleasant Valley Community School District

BRIAN STRUSZ, Ed.S.
Superintendent

D. MICHAEL ZIMMER
Director of Secondary Education

CINDY LEWIS, Ed.S.
Director of Elementary Education

Belmont Administration Center

MICHAEL L. CLINGINGSMITH, C.P.A.
Chief Financial Officer

November 18, 2021

Nikhil Wagle, President,
Members of the Board of Education,
and the Citizens of Pleasant Valley Community School District
Bettendorf, Iowa

We are pleased to submit to you the Annual Comprehensive Financial Report (ACFR) of the Pleasant Valley Community School District (the District) for the fiscal year ending June 30, 2021. This report has been prepared to conform to guidelines recommended by the Association of School Business Officials (ASBO) International and the Government Finance Officers Association (GFOA) of the United States and Canada.

Management's Discussion and Analysis (MD&A) immediately follows the independent auditor's report and provides a narrative introduction, overview, and analysis of the basic financial statements. This letter of transmittal is designed to complement the MD&A and should be read in conjunction with it.

Management Responsibility

Responsibility for both the accuracy of the data and the completeness and fairness of the presentation, including all disclosures, rests with the District. To the best of our knowledge and belief, the enclosed information is fairly stated in all material respects and is presented in a manner which sets forth the financial position and results of the operations of the governmental activities, business-type activities, each major fund and aggregate of the remaining funds of the District in accordance with generally accepted accounting principles, (GAAP). It includes all funds of the entire District. The District is not included in any other reporting entity, nor are any other entities included within this report. All disclosures necessary to enable a reader to gain maximum understanding of the District's financial activities have been included.

Independent Audit/Legal Requirements

The Code of the State of Iowa requires an annual audit of the District to be performed by an accounting firm selected in a competitively bid process. The annual audit meets the requirements of the Code of Iowa, generally accepted auditing standards and the annual single audit requirements of Subpart F of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). The auditor's report on the basic financial statements and combining and individual fund statements and other schedules is included in the financial section of this report. Information related to this single audit, including a schedule of expenditures of federal awards, summary schedule of prior audit findings, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements applicable to each major program and internal control over compliance, a schedule of findings and questioned costs and corrective action plans (if any) are included in the Compliance Section of this report.

All of the District's funds are presented in this report and have been audited by the District's independent certified public accountants, Bohnsack & Frommelt LLP, Certified Public Accountants. Bohnsack & Frommelt LLP, Certified Public Accountants, have issued an unmodified ("clean") opinion on the Pleasant Valley Community School District's financial statements for the year ended June 30, 2021. The independent auditor's report is located at the front of the financial section of the ACFR.

525 Belmont Rd, Bettendorf, IA 52722 ◆ 563-332-5550 ◆ Fax 563-332-4372 ◆ www.pleasval.org

Internal Control

Management of the District is responsible for establishing and maintaining an internal control structure designed to ensure that the assets of the District are protected from loss, theft or misuse and to ensure that adequate accounting data are compiled to allow for the preparation of financial statements in conformity with generally accepted accounting principles. The internal control structure is designed to provide reasonable, but not absolute, assurance that these objectives are met. The concept of reasonable assurance recognizes that: (1) the cost of a control should not exceed the benefits likely to be derived; and (2) the evaluation of costs and benefits requires estimates and judgments by management.

All internal control evaluations occur within the above framework. We believe that the internal accounting controls of the school district adequately safeguard assets and provide reasonable assurance of proper recording of financial transactions.

As a recipient of federal, state and local financial assistance, the District is also responsible for ensuring that adequate internal controls are in place to ensure compliance with applicable laws and regulations related to those programs. As part of the District's single audit, described earlier, tests are made to determine the adequacy of internal control, including that portion related to federal awards programs, as well as to determine that the District has complied with applicable laws and regulations.

Basis of Presentation

The charts and accounts used by the District have been prepared in conformity with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board and Audits of State and Local Government units issued by the American Institute of Certified Public Accountants. In addition, the District's accounting records materially conform to the Uniform Financial Accounting for Iowa Schools and Area Education Agencies issued by the Iowa Department of Education and Chapter 11 of the Code of Iowa. The chart of accounts manual is updated annually, and the District is materially in compliance with these requirements.

Profile of the District

The District was organized in 1962 and encompasses 44 square miles of eastern Scott County, Iowa including the towns of LeClaire, Panorama Park, Riverdale, the village of Pleasant Valley and over one half of the City of Bettendorf. Within its borders is found a rich blend of urban, rural, suburban and small town living. The economic makeup of the district includes some of the richest farmland in the nation in concert with exceptional commercial and industrial enterprises. The school district serves as the focal point for the total community since it is the one institution that cuts across the political, social, and economic boundaries and provides a common interest. As a result, community involvement in education is high at all levels.

The District is also located in the Quad Cities Metropolitan area of eastern Iowa and western Illinois. The Quad Cities (Davenport-Moline-Rock Island, IA-IL Metro Area) had a population of 384,324 according to the decennial 2020 census by the U.S. Census Bureau. The resident population of the Pleasant Valley Community School District was approximately 22,980 in the year 2019 according to the U.S. Census Bureau. The District serves the education needs of approximately 5,150 students. All buildings are air-conditioned and equipped with state of the art technology. In the 2020-21 school year, the district had two PK-6 elementary schools, three K-6 elementary schools, one 7-8 junior high, and one 9-12 high school. Construction on the newest elementary school, Forest Grove, was substantially completed during the 2020-21 school year and opened for the 2022-23 school year.

The District provides a full range of educational services for those attending the Pleasant Valley Community School District including basic, regular and enriched academic education, specialized instruction for handicapped children, vocational education and many individualized programs such as specialized instruction for students at-risk. There are no charter school relationships within the District.

The District is supported financially by state aid, property taxes, state and federal grants for special projects and local revenue. The District is governed by a seven-member board of education, serving staggered terms of four years. School elections are held in November of odd numbered years. The District is divided into seven geographical director districts. Each member of the school board serves a particular geographical director district. The Board of Directors is a policy-making and planning body whose decisions are carried out by school administrators. The District is subject to the general oversight of the Iowa Department of Education. This oversight generally includes an approval process that reviews compliance to standards enacted by legislative mandate.

The combined financial statements include all funds, organizations, agencies, boards, commissions and other authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The criteria considered in determining financial accountability include appointing a voting majority of an organization's governing body, and 1) the ability of the District to impose its will on that organization or 2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on the District.

Budgeting

The District's Board of Education annually adopts a budget and approves the related appropriations for the General, Special Revenue, Debt Service, Capital Projects and Enterprise Funds in accordance with provisions outlined in the statutes of the State of Iowa. The budgets are prepared on an accrual basis, which details estimates of GAAP revenues and GAAP expenditures, and use of beginning fund balances, whereas the financial statements of the funds are prepared on either the modified accrual basis or accrual basis of accounting. A statement comparing the budget to actual receipts and disbursements is included in the required supplemental information in aggregate form for fund types for which budgets are required. For management control, the budget is reviewed on a line item basis. Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund or fund type.

It should be noted that school districts have two levels of budgetary control. One form of budgetary control exists through the certified budget, which includes all fund of the District (the type of budget explained in the preceding paragraph). This budget is certified with the County Auditor and the Iowa Department of Management each year. Iowa school districts may not certify a general fund budget in excess of its spending authority.

The other level of budgetary control is the unspent (maximum) authorized budget and pertains only to the General Fund of the District. The maximum authorized budget is the total spending authority in the General Fund of the District. The unspent budget is a budgetary concept and is not equivalent to General Fund cash. It is imperative for users of District financial information to make this important distinction. The unspent balance is the amount of spending authority that is carried over into the next fiscal year. The unspent balance is a budgetary carryover and does not represent actual dollars (General Fund cash) or actual financial position (nonspendable, restricted, assigned or unassigned General Fund fund balance) of the District.

Economic Condition and Outlook

The Quad Cities region is a bi-state, six-county region comprised of Clinton, Muscatine, and Scott Counties in Iowa, and Henry, Mercer, and Rock Island Counties in Illinois, which includes the Davenport-Moline-Rock Island IA-IL msa; the Clinton, IA msa, and the Muscatine, IA msa.

The Quad Cities region is home to Fortune 500 company John Deere. There are 150 others on Fortune's 500 and 1000 lists that have a presence in our region, as well as the Rock Island Arsenal, a major military installation. The Arconic aluminum manufacturing plant is located within the boundaries of the Pleasant Valley Community School District and employs approximately 2,194 employees.

The Quad City area is Located 2 1/2 hours west of Chicago and within a 300 mile radius of 37 million people.

The unemployment rate in Scott County, Iowa averaged 5.3% between January, 2021 to October, 2021. This was lower than the national average of 6.7%.

The District continues to experience significant annual growth with an approximately 116 student increase in certified enrollment in the 2020-21 fiscal year. The District has experienced an average annual growth in certified enrollment of 146.0 students per year for the last decade from the 2011-12 school year through the 2020-21 school year. In the past decade, Pleasant Valley's enrollment has grown by 38.6%, due in large part to our quality schools, excellent community support, and strong businesses in the area. The influx of new families has strengthened our schools, adding new culture and diversity to strong Midwestern values, allowing Pleasant Valley to not only increase in our number of students, but also the growth that each student experiences by being a part of our school community. The District is expected to see continued growth in enrollment. This continued growth presents infrastructure challenges that are being addressed through the District's long range planning process.

Taxable valuations of property in the District continue to increase each year also. The average growth in the District's taxable valuations (including tax increment financing (TIF's)) over the last ten years has been 5.5%. In the 2020-21 fiscal year (taxable valuations as of January 1, 2019), the increase was 3.0%. The Cities of Bettendorf, LeClaire and Riverdale, Iowa continue to encourage job creation and capital investment through the use of tax abatements offered to entities that contribute to economic development of the Cities.

The oldest school building in the District, Cody Elementary School, was originally built in 1954 and has been very well maintained, as have all of the District's schools. Other school buildings in the District have original build dates between 1959 and 2011.

The financial solvency ratio of the District measures movement and distribution of current assets. The financial solvency ratio represents a school district's year-end position after payment of all current and outstanding or accrued liabilities. Iowa Association of School Boards recommends a target solvency ratio within a range of 5% to 15%. The District's solvency ratio at June 30, 2021 is 17.8%, which is an increase from 14.3% at June 30, 2020. Much of this increase in solvency can be attributed to additional federal relief funds received as a result of the COVID pandemic.

The Iowa school funding formula is a complex formula that is pupil driven and increasing total spending authority occurs by increasing the number of pupils or increasing the cost per pupil. Certified enrollment for the District continues to increase. The district cost per pupil for 2020-2021 was $7,161 and the cost per pupil for 2021-22 is $7,330.

In recent years, the state of Iowa has faced an economic downturn that severely hampered its ability to fund schools at the same level as in prior years. The District has faced inadequate funding for state aid and other state-funded programs, and this has resulted in lower supplemental state aid. The supplemental state aid has been complimented with increased enrollment allowing the District to not need to make budget cuts in recent years.

The COVID-19 outbreak is disrupting business across a range of industries in the United States. A nationwide labor shortage has made it increasingly difficult to retain and recruit qualified staff. Global supply chain disruption and significant increases in inflation have driven the prices of goods and services past projected budget allocations. As a result, local, regional and national economies, including that of the District, may be adversely impacted. The extent of the financial impact of COVID-19 will depend on future developments, including the duration and spread, which are uncertain and cannot be predicted. Due to the uncertainties surrounding the outbreak, management cannot presently estimate the potential impact on the District's operations and finances.

Debt Administration

As of June 30, 2021 the District had $44,483,663 of debt applicable to its legal debt margin. This amount is well below the District's bonding capacity of $163,773,355.

Long-term Financial Planning and Relevant Financial Policies

Financial Policies

The District invests in only those securities allowed by the Code of Iowa, Chapter 12C. The District's cash and pooled investments consist of depository accounts at financial institutions including short-term and long-term nonnegotiable certificate of deposits. The cash balances of the District's funds are pooled. Interest revenue of $819,306 was earned on all deposits and investments for the fiscal year ending June 30, 2021.

The District currently covers property and liability losses with traditional insurance coverage. The group health plan is partially self-funded and dental plan is fully self-funded.

A comprehensive accounting system is promulgated by the Iowa Department of Education including account numbers for revenues and expenditures by function and object. The District additionally tracks revenues by source of funds and expenditures by location, curricular program and funding source.

For long-term planning, the District utilizes a "Comprehensive Financial Planning Model" to project out various scenarios and how they could affect the financial health of the District in the next five years. The District also has a "Five Year Capital Projects Plan" which is updated at least annually for projecting future capital project needs in the District.

Major Initiatives and Achievements

An important element in maintaining an excellent educational program is the management of fiscal and capital resources. The District's use of a long-range planning process, a growing enrollment and an increasing property tax base have helped to achieve and maintain the following results:

- Salary and benefit schedules that attract and retain a high quality faculty and staff
- Excellent facilities and equipment maintained and updated on an ongoing basis
- Broad community support for bond referendums, Instructional Support Levy, Revenue Purpose Statement renewal for the Secure an Advanced Vision for Education (SAVE) one cent sales tax for school infrastructure and voted Physical Plant and Equipment Levy (PPEL)

The District has 372 certified teachers under contract in the District. 65% of the teachers have a master's degree and / or graduate hours beyond their master's. The development of life-long learners is a key strategic goal. The District models this expectation in the selection, professional development, and retention of its faculty and staff. Supporting the belief that quality teaching is the single most important variable a District can influence. The District provides:

- A rigorous two-year mentoring program for all beginning teachers
- Ongoing professional development
- An emphasis on the study and acquisition of "best practice" in the field of education
- Encouragement toward the pursuit of advanced degree work
- Leadership opportunities

Following is the Pleasant Valley Community School District's Mission Statement:

The mission of the Pleasant Valley Community School District as a premier innovative district in the Midwest is to prepare students to succeed in a diverse, global society by providing superior quality opportunities in a safe environment for each student to become a life-long learner and by continuously improving and customizing the educational experience.

The Pleasant Valley Community School District's Vision Statement is:

It is the vision of the Pleasant Valley Community School District that we shall provide the finest academic and extra-curricular programs in the state - not in some things, but in everything; not for some students but for every student.

The District is proud of its academic, activities and athletics programs, which includes the following highlights from the 2020-21 school year:

SPARTAN SPOTLIGHTS

Academics

- 4 National Merit Scholars
- 80 seniors earned the Seal of Bi-Literacy
- 3 students earned Certificates of Excellence awards in the Mathematical Association of America's annual American Mathematics Competition exams
- US News & World Report National Silver Medal Award for Best High Schools in Iowa - ranked #2 High School in Iowa
- Bridgeview Elementary, Cody Elementary, Hopewell Elementary, Pleasant View Elementary, Riverdale Heights Elementary were ranked as the top five Best Public Schools in Iowa by Niche

Fine Arts

Band

- 844 band members in grades 6-12
- 10 students accepted to the Iowa All-State Band (ties school record); 5 students selected as alternates
- 22 students accepted to South East Iowa District Honor Band
- QC Youth Symphony Orchestra Solo Prize, Erika Holmberg

Choir

- 650 choir members in grades 4-12
- 19 choir students in the Iowa All-State Chorus
- 2 All-State Jazz Choir participants
- Leading Tones selected to the Iowa Vocal Jazz Championships for the thirteenth year in a row, but competition was canceled due to COVID-19

Drama

- Approximately 325 participants in grades K-12
- 5 students selected for All-State Individual Speech in 6 events: Solo Acting, Solo Musical Theatre, and Solo Improv
- 3 groups selected for All-State Large Group Speech Events: Ensemble Acting, One Act, and Improv
- Numerous Division I ratings at state large group and individual contests
- 1 student selected to Iowa Thespian Chapter (State) Board
- Iowa Thespian Festival: 1st Place Group Musical Theatre, Three 1st Place Tech Challenges

Orchestra

- 289 orchestra members in grades 4-12
- 6 students were selected to the Iowa All-State Orchestra
- Iowa String Teachers Association Honors Orchestra - cancelled due to COVID
- South East Iowa String Teachers Association Honors Orchestra - canceled due to COVID

Athletics

Of the 21 Iowa sanctioned sports, Pleasant Valley advanced to state in 18, either as a team, an individual, or both.

2020-21 MAC Champions:	State Appearances:	
Boys Golf	**Boys Golf - 4A State Runner-up**	**Girls Track & Field - State Runner-up**
Boys Cross Country	Girls Swimming - 18th Place	Boys Track & Field - 20th Place
Girls Cross Country	Boys Cross Country - 12th Place	**Girls Golf - State Runner-up**
Volleyball	Girls Cross Country - 8th Place	Girls Tennis - 1 individual Qualifier
Football	Volleyball - Semi-finalist	Boys Tennis - 3rd Place
Boys Swimming	Football - Semi-finalist	Girls Soccer - State Quarterfinalist
Boys Basketball	Boys Swimming - 9th Place	**Boys Soccer - State Champion**
Girls Track & Field	Wrestling - 5 individual Qualifiers	Softball - State Semifinalist
Girls Golf	Boys Basketball - Quarterfinalist	**Baseball - State Champion**
Boys Tennis		
Girls Soccer		
Boys Soccer		
Baseball		

Activity Accolades

Spartan Assembly

- Iowa Association of Student Councils Honor Council Meritorious Distinction Award (a perfect score!)
- Student Hunger Drive - First Place

Spartan Shield

- Iowa High School Press Association Team of the Year - 2019-20
- First Place Yearbook - 2019-20
- Iowa Journalist of the year in the JEA competition

<u>Certificate of Achievement for Excellence in Financial Reporting (GFOA) and Certificate of Excellence in Financial Reporting (ASBO)</u>

The Government Finance Officers Association of the United States and Canada (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to Pleasant Valley Community School District for its comprehensive annual financial report for the fiscal year ended June 30, 2020. This was the fifth consecutive year that the District has achieved this prestigious award from GFOA. The Association of School Business Officials (ASBO) International awarded a Certificate of Excellence in Financial Reporting to Pleasant Valley Community School District for its comprehensive annual financial report for the fiscal year ended June 30, 2020. This was also the fifth consecutive year that the District has achieved this prestigious award from ASBO. In order to be awarded these certificates, a government must publish an easily readable and efficiently organized comprehensive annual financial report. This report must satisfy both generally accepted accounting principles and applicable legal requirements.

These certificates are valid for a period of one year only. We believe that our current Comprehensive Annual Financial Report meets program requirements for both awards and we are submitting it to ASBO and GFOA to determine its eligibility for each certificate.

We wish to take this opportunity to thank the administrative office staff who assisted in obtaining and organizing data, our financial auditors, the County Auditor and Treasurer offices and the city and town officials who provided much needed information. Without all of the above groups' efforts, the report could not have been completed.

Finally, sincere appreciation is extended to the Board of Directors, where the commitment to excellence begins. It is with great pride that this year's Comprehensive Annual Financial Report is submitted to the Board of Directors.

Very truly yours,

Mike Clingingsmith

Brian Strusz

Mike Clingingsmith
Chief Financial Officer

Brian Strusz
Superintendent

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Pleasant Valley Community School District

Board of Education and School District Officials
Year Ended June 30, 2021

Board of Education

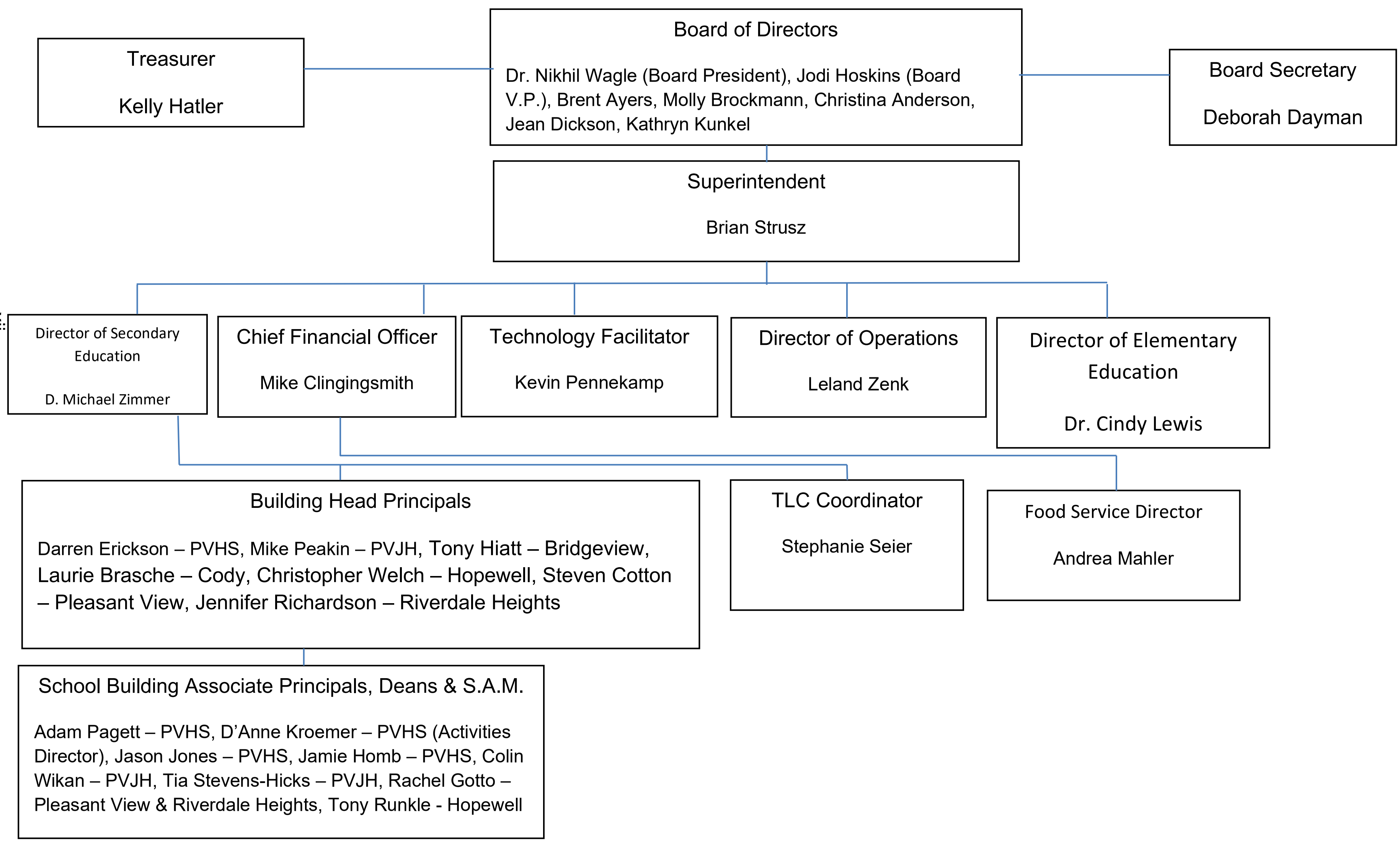
Name	Title	Term Expires
Nikhil Wagle	Board President	2023
Jodi Hoskins	Board Vice President	2023
Brent Ayers	Board Member	2021
Molly Brockmann	Board Member	2023
Kathryn Kunkel	Board Member	2021
Christina Anderson	Board Member	2023
Jean Dickson	Board Member	2021

School District Officials

Brian Strusz	Superintendent	2023
Dr. Cindy Lewis	Director of Elementary Education	2022
Mike Zimmer	Director of Secondary Education	2022
Mike Clingingsmith	Chief Financial Officer	2022
Deborah Dayman	Board Secretary	2021
Kelly Hatler	District Treasurer	2021
Lane & Waterman	Attorney	Indefinite

PLEASANT VALLEY COMMUNITY SCHOOL DISTRICT

Organizational Chart (As of June 30, 2021)



Government Finance Officers Association

Certificate of Achievement for Excellence in Financial Reporting

Presented to

Pleasant Valley Community School District
Iowa

For its Comprehensive Annual
Financial Report
For the Fiscal Year Ended

June 30, 2020

Christopher P. Morrill

Executive Director/CEO

ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL

The Certificate of Excellence in Financial Reporting
is presented to

Pleasant Valley Community School District

for its Comprehensive Annual Financial Report
for the Fiscal Year Ended June 30, 2020.

The district report meets the criteria established for
ASBO International's Certificate of Excellence.

CERTIFICATE OF EXCELLENCE
IN FINANCIAL REPORTING

W. Edward Chabal	David J. Lewis
President	Executive Director

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Bohnsack & Frommelt LLP
Certified Public Accountants

Independent Auditor's Report

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the Pleasant Valley Community School District, as of and for the year ended June 30, 2021, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards,* issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the Pleasant Valley Community School District, as of June 30, 2021, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, schedule of changes in the District's total OPEB liability and related ratios, and schedule of the District's proportionate share of the net pension liability and schedule of District contributions on pages 4-16 and 56-64 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The other supplementary information, as listed in the table of contents, and schedule of expenditures of federal awards as required by Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principals, and Audit Requirements for Federal Awards*, and the other information, including the introductory and statistical sections and are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The other supplementary information, as listed in the table of contents and schedule of expenditures of federal awards are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The introductory and statistical sections have not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on it.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated November 18, 2021, on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

Bohnsack & Frommelt LLP

Moline, Illinois
November 18, 2021

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Pleasant Valley Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2021. We encourage readers to consider this information in conjunction with additional information that we have furnished in our transmittal letter and the District's financial statements, which follow:

2020-21 FINANCIAL HIGHLIGHTS

- The District's net position for governmental activities was $59,234,194 at June 30, 2021 compared to $54,072,843 at June 30, 2020, an increase of $5,161,351 or 9.5%.

- The District's net position for business-type activities was $1,941,476 at June 30, 2021 compared to $1,578,617 at June 30, 2020, an increase of $362,859 or 23.0%.

- The District's solvency ratio (Assigned + Unassigned General Fund Balance / Actual General Fund Revenues – AEA Flowthrough) increased from 14.3% at June 30, 2020 to 17.8% at June 30, 2021. Per the Iowa Association of School Board (IASB), solvency ratio is a financial measure that provides a picture of the cash resources on hand at fiscal year-end of a school district and represents the percent of the district's available funding. IASB recommends that this ratio be between 5 – 15%, not to exceed 25%.

- The District's certified enrollment (resident headcount) for the 2020-21 fiscal year (taken on October 1, 2020 was 5,244.2, an increase of 115.8 students or 2.3% over the 2019-2020 fiscal year certified enrollment of 5,128.4 (taken on October 1, 2019). A District's certified enrollment is used in determining funding through the Iowa state foundation formula in the fiscal year immediately after the fiscal year in which the certified enrollment count is actually taken. The District's certified enrollment has increased by 1,460 students (38.6%) in the last ten years and 138.3 students (68.9%) in the last twenty years.

- The District's long-term bonded debt decreased $5,224,180 during the 2020-21 fiscal year due to the scheduled debt repayments and amortization of premiums and discounts.

- At the end of the 2020-21 fiscal year, the total of assigned and unassigned fund balances in the General Fund was $10,083,359 or 17.1% of total General Fund revenues compared to the prior year's total balance of $7,442,527 or 13.7%.

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

- Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.
- The government-wide financial statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Pleasant Valley Community School District as a whole and present an overall view of the District's finances.
- The fund financial statements tell how governmental services were financed in the short-term as well as what remains for future spending. Fund financial statements report Pleasant Valley Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining statements provide financial information about activities for which Pleasant Valley Community School District acts solely as an agent or custodian for the benefit of those outside of the District.
- Notes to financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.
- Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year and information regarding the District's retiree health plan and pension plan.
- Other supplementary information provides detailed information about the nonmajor governmental funds.

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

Figure A-1
Pleasant Valley Community School District Annual Financial Report

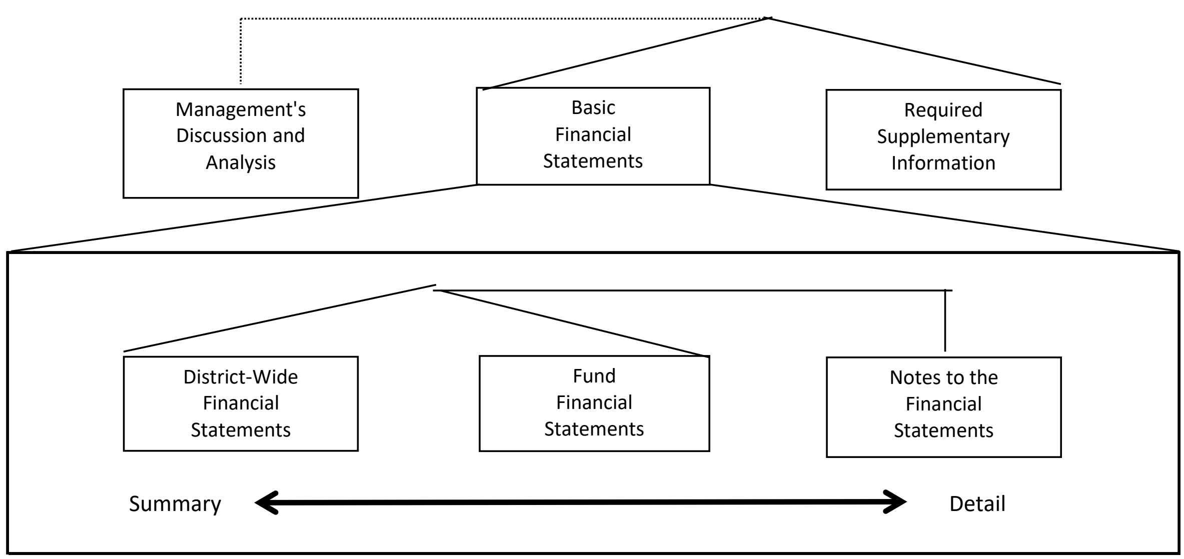


Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2
Major Features of the Government-Wide and Fund Financial Statements

	Government-Wide Statements	Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance	Activities the District operates similar to private businesses: school nutrition and internal service fund	Instances in which the District administers resources on behalf of someone else, such as scholarship programs, reunion moneys and funds for District employee purchases of pop, etc.
Required financial statements	Statement of net position Statement of activities	Balance sheet Statement of revenues, expenditures and changes in fund balances	Statement of net position Statement of revenues, expenses and changes in net position Statement of cash flows	Statement of fiduciary net position Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset and deferred outflows of resources /liability and deferred inflows of resources information	All assets, deferred outflows of resources and liabilities and deferred inflows of resources, both financial and capital, short-term and long-term	Generally, assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets, deferred outflows of resources and liabilities and deferred inflows of resources, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of inflow/outflow information	All revenues and expenses during the year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, liabilities, and deferred inflows of resources. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how they have changed. Net position – the difference between the District's assets and deferred outflows and liabilities and deferred inflows – are one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position are an indicator of whether financial position is improving or deteriorating, respectively. To assess the District's overall health, additional nonfinancial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

Governmental activities: Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property taxes and state aid finance most of these activities.

Business-type activities: The District charges fees to help it cover the costs of certain services it provides. The District's school nutrition program is included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

The District has three kinds of funds:

1) **Governmental Funds**: Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. Because this information does not encompass the additional long-term focus of the government-wide statements, additional information at the bottom of the governmental funds statements explains the relationship (or differences) between the two statements. The District's major governmental funds for 2020-21 were the General Fund and the Capital Projects Fund. The nonmajor governmental funds include two Special Revenue Funds (the Management Fund and Student Activities Fund) and the Debt Service Fund. The required financial statements for governmental funds include a balance sheet and a statement of revenues, expenditures and changes in fund balances.

2) **Proprietary funds**: Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's Enterprise Fund, one type of proprietary fund, is the same as its business-type activities but provides more detail and additional information, such as cash flows. The District currently has one Enterprise Fund, the School Nutrition Fund. The District uses internal service funds, the other kind of proprietary fund, to report activities that provide supplies and services for other District programs and activities. The District currently has one internal service fund, which is used to account for the District's partially self-funded health and fully self-funded dental insurance plans.

   The required financial statements for proprietary funds include a statement of net position, a statement of revenues, expenses and changes in net position and a statement of cash flows.

3) **Fiduciary funds**: The District is the trustee, or fiduciary, for assets that belong to others. This fund type includes custodial funds.

   Custodial Funds: These are funds for which the District faculty accounts for certain revenue collected for District employee purchases of pop, funeral flowers, etc. and related expenditures and for revenues and expenditures of other various club accounts.

   The District is responsible for ensuring the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

   The required financial statements for fiduciary funds of the District include a statement of fiduciary net position and a statement of changes in fiduciary net position.

Reconciliations between the government-wide financial statements and the fund financial statements follow the fund financial statements.

Government-Wide Financial Analysis

Figure A-3 below provides a summary of the District's net position as of June 30, 2021 compared to June 30, 2020.

Figure A-3 Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	2021	2020	2021	2020	2021	2020	2020-21
Current and other assets	$ 65,130,352	$ 68,283,500	$ 1,986,370	$ 1,815,604	$ 67,116,722	$ 70,099,104	-4.3%
Capital assets	98,301,635	92,353,764	740,141	519,029	99,041,776	92,872,793	6.6%
Total assets	163,431,987	160,637,264	2,726,511	2,334,633	166,158,498	162,971,897	2.0%
Deferred outflows of resources	8,724,006	8,480,771	215,177	214,997	8,939,183	8,695,768	2.8%
Long-term liabilities	78,730,547	78,973,372	774,080	653,706	79,504,627	79,627,078	-0.2%
Other liabilities	9,428,571	9,920,270	199,538	228,087	9,628,109	10,148,357	-5.1%
Total liabilities	88,159,118	88,893,642	973,618	881,793	89,132,736	89,775,435	-0.7%
Deferred inflows of resources	24,762,681	26,151,550	26,594	89,220	24,789,275	26,240,770	-5.5%
Net position:							
Net investment in capital assets	61,834,605	57,616,352	740,141	519,029	62,574,746	58,135,381	7.6%
Restricted	9,520,185	9,546,788	32,205	41,295	9,552,390	9,588,083	-0.4%
Unrestricted	(12,120,596)	(13,090,297)	1,169,130	1,018,293	(10,951,466)	(12,072,004)	9.3%
Total net position	$ 59,234,194	$ 54,072,843	$ 1,941,476	$ 1,578,617	$ 61,175,670	$ 55,651,460	9.9%

The District's combined net position as of June 30, 2021 grew by $5,524,210 (9.9%) over the June 30, 2020 combined net position. Net position in the governmental activities grew by $5,161,351 (9.5%). The net position of the District's business-type activities increased by $362,859 (23%).

The most significant factors for the increase in net position of the District were the District's continued planned increase in its cash reserve balances in its General Fund to protect itself against potential future cuts in state funding and the significant improvements completed and in progress during the 2020-21 fiscal year at various buildings throughout the District including the construction of Forest Grove Elementary School.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position decreased by $35,693 (0.4%) primarily due to decreases in restrictions for school infrastructure as projects are completed.

Unrestricted net position (the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements) increased by $1,120,538 (9.3%) primarily due to the continued payment on long-term debt.

Figure A-4 shows the changes in net position for the year ended June 30, 2021 compared to the year ended June 30, 2020.

Figure A-4 Changes in Net Position From Operating Results

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	2021	2020	2021	2020	2021	2020	2020-21
Revenues:							
Program revenues:							
Charges for services	$ 3,426,468	$ 3,091,621	$ 428,604	$ 1,347,137	$ 3,855,072	$ 4,438,758	-13.1%
Operating grants and contributions	10,320,304	7,336,281	1,808,630	508,088	12,128,934	7,844,369	54.6%
Capital grants and contributions	-	-	-	-	-	-	0.0%
General revenues:							
Property taxes	25,068,564	23,304,617	-	-	25,068,564	23,304,617	7.6%
State foundation aid	24,430,506	24,503,479	-	-	24,430,506	24,503,479	-0.3%
Unrestricted intergovernmental revenue	5,587,148	5,191,254	-	-	5,587,148	5,191,254	7.6%
Other	1,290,509	1,170,446	5,743	21,340	1,296,252	1,191,786	8.8%
Total revenues	70,123,499	64,597,698	2,242,977	1,876,565	72,366,476	66,474,263	8.9%
Expenses:							
Instruction	43,782,255	41,261,060	-	-	43,782,255	41,261,060	6.1%
Support services	17,482,480	17,391,241	-	-	17,482,480	17,391,241	0.5%
Noninstructional	23,195	24,256	1,964,268	1,957,472	1,987,463	1,981,728	0.3%
Other	3,590,068	3,682,587	-	-	3,590,068	3,682,587	-2.5%
Total expenses	64,877,998	62,359,144	1,964,268	1,957,472	66,842,266	64,316,616	3.9%
Change in net position before transfers	5,245,501	2,238,554	278,709	(80,907)	5,524,210	2,157,647	156.0%
Transfers	(84,150)	125,021	84,150	(125,021)	-	-	0.0%
Increase in net position	5,161,351	2,363,575	362,859	(205,928)	5,524,210	2,157,647	156.0%
Net position, beginning of year	54,072,843	51,709,268	1,578,617	1,784,545	55,651,460	53,493,813	
Net position, end of year	$ 59,234,194	$ 54,072,843	$ 1,941,476	$ 1,578,617	$ 61,175,670	$ 55,651,460	

In 2020-21, local taxes (property taxes and statewide sales and services tax) and state foundation aid accounted for 78.6% of the revenue from governmental activities while charges for services and grants and contributions accounted for 99.7% of the revenue from business-type activities.

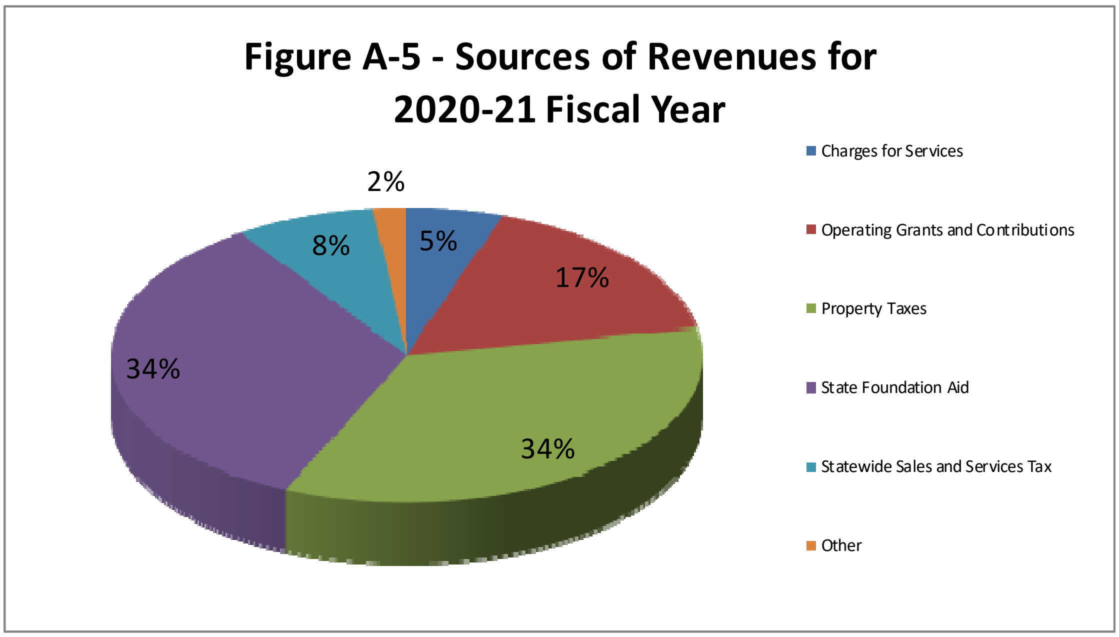
The District's expenses primarily relate to instructional and support services, which account for 91.7% of the total expenses.

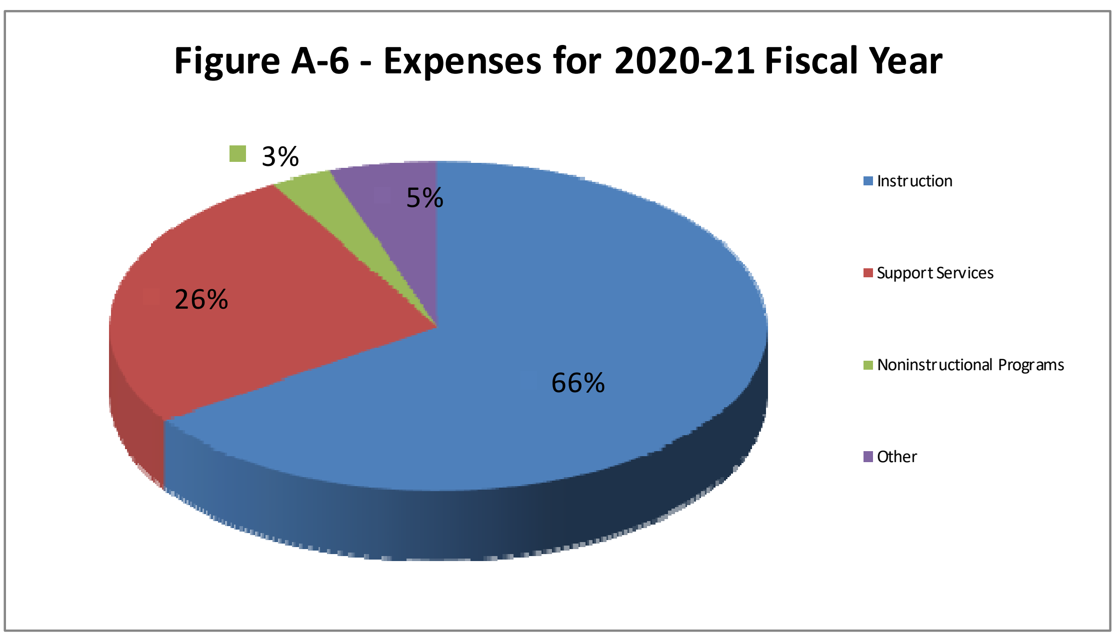
Total revenue for the District increased by $5,892,213 (8.9%) in the fiscal year ended June 30, 2021. The most significant revenue category changes were due to an increase in property taxes, statewide sales and services tax, and federal funding received due to COVID-19. Property taxes increased by

$1,763,947 (7.6%) primarily due to an increase in assessed/taxable valuations in the District and the District's increased enrollment.

Total District expenses increased by $2,525,650 (3.9%), primarily because of increases in instruction expenditures.

Figures A-5 and A-6, which follow, show charts reflecting sources of revenue and distribution of expenses for the 2020-21 fiscal year.





Governmental Activities

Revenue for the District's governmental activities in 2020-21 increased by $5,525,801 (8.6%) from the previous year, while total expenses in governmental activities increased by $2,518,854 (4.0%). Governmental activities net position as of June 30, 2021 increased by $5,161,351 (9.5%) over the June 30, 2020 balance.

Figure A-7 presents the total and net cost of the District's four major governmental activities: instruction, support services, noninstructional programs and other expenses, for the year ended June 30, 2021 compared to the year ended June 30, 2020.

Figure A-7 Net Cost of Governmental Activities

	Total Cost of Services		Percentage Change	Net Cost of Services		Percentage Change
	2021	2020		2021	2020	
Instruction	$ 43,782,255	$ 41,261,060	6.1%	$ 32,476,485	$ 33,158,429	-2.1%
Support services	17,482,480	17,391,241	0.5%	17,417,198	17,325,301	0.5%
Noninstructional	23,195	24,256	-4.4%	23,195	24,256	-4.4%
Other	3,590,068	3,682,587	-2.5%	1,214,348	1,423,256	-14.7%
Total	$ 64,877,998	$ 62,359,144	4.0%	$ 51,131,226	$ 51,931,242	-1.5%

For the year ended June 30, 2021:

- The cost financed by the users of the District's programs was $3,426,468.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling $10,320,304.
- The net cost of governmental activities was financed with $25,068,564 in property taxes, $24,430,506 of unrestricted state grants, $5,587,148 in statewide sales and services tax revenue, and $1,290,509 in investment and other earnings.

For the year ended June 30, 2020:

- The cost financed by the users of the District's programs was $3,091,621.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling $7,336,281.
- The net cost of governmental activities was financed with $23,304,617 in property taxes, $24,503,479 of unrestricted state grants, $5,191,254 in statewide sales and services tax revenue, $634,970 in investment earnings and $535,476 in miscellaneous revenues.

Business-Type Activities

The District's business-type activities include the School Nutrition Fund. Revenues of the District's business-type activities in 2020-21 were $2,242,977; an increase of $366,412 (19.5%) from 2019-20. Other revenues of these activities were comprised of federal and state reimbursements and interest. Expenses were $1,964,268, a increase of $6,796 (0.3%) from 2019-20.

Individual Fund Analysis

As previously noted, the Pleasant Valley Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of $27,153,437, which reflects a decrease of $4,704,712 (14.8%) from last year's ending fund balances of $31,858,149.

Governmental Fund Highlights

- The fund balance in the District's General Fund increased by $3,113,342 (37.9%) from $8,224,174 as of June 30, 2020 to $11,337,516 as of June 30, 2021. The General Fund experienced an increase in federal sources of revenue primarily due to funding for COVID-19.

- The fund balance in the Capital Projects Fund decreased by $7,695,192 (38.0%) from $20,244,645 as of June 30, 2020 to $12,549,453 as of June 30, 2021. Total expenditures were $10,528,896 in 2020-21 compared to $11,385,787 in 2019-20. In the current year, major expenditures included the Junior High Parking lot and continued construction of Forest Grove Elementary School which opened up in the 2021-22 school year.

Proprietary Fund Highlights

The net position of the District's proprietary funds increased during the year.

- The net position of the Nutrition Fund increased by $362,859 (23.0%) during 2020-21 from the 2019-20 net position. Charges for services decreased from $1,347,137 in 2019-20 to $428,604 in 2020-21 primarily due to loss of food services sales for the 2020-21 school year due to the pandemic funding for the nutrition program.

- The net position of the Internal Service Fund increased by $166,918 (4.3%) during 2020-21.

Budgetary Highlights

A schedule showing the original and final budget amounts compared to the District's actual financial activity is included in the required supplementary information section of this report.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds, except internal service funds and custodial funds. This is referred to as the certified budget. The certified budget may be amended during the year utilizing similar statutorily prescribed procedures. The District uses the GAAP (Generally Accepted Accounting Principles) method of accounting for budgeting purposes. Over the course of the year, the District amended its certified budget one time.

Pleasant Valley Community School District's normal practice is to amend the certified budget one time during each fiscal year. Iowa law requires that actual spending in each functional area of the budget does not exceed the amount budgeted to be spent in that functional area at any time during the fiscal year. The District's practice is to amend the budget each year prior to expenses going over budget in any of the functional areas. The District's practice is also to amend the budget to reflect the entire fund balances in each of the various budgeted funds being spent down to a zero balance at the end of the fiscal year. This is the most significant reason for the amended budget showing $22,974,930 more in expenditures than the original certified budget for the 2020-21 fiscal year.

The other main reasons for the differences between the original budget and the amended budget are:

- The budget is amended to reflect additional allowed expenditures due to receipt of other miscellaneous income during the year that was not possible to predict when the certified budget was adopted.

Capital Asset and Debt Administration

Capital Assets

By the end of the 2020-21 fiscal year, the District had invested $99,041,776 (net of accumulated depreciation of $52,664,900) in a broad range of assets, including school buildings, athletic facilities, computer and audio-visual equipment and administrative offices. (See Figure A-8). This amount represents a net increase of $6,168,983 or 6.6% from last year. The most significant additions were for Junior High Parking lot and continued construction of Forest Grove Elementary School, which opened up in the 2021-22 school year. (More detailed information about capital assets can be found in Note 4 to the financial statements). Total depreciation expense for the year was $3,657,330.

Figure A-8 Capital Assets (Net of Depreciation)

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	2021	2020	2021	2020	2021	2020	2020-21
Land	$ 1,360,555	$ 1,360,555	$ -	$ -	$ 1,360,555	$ 1,360,555	0.0%
Buildings	72,106,798	74,145,827	-	-	72,106,798	74,145,827	-2.8%
Improvements other than buildings	5,077,636	4,362,252	-	-	5,077,636	4,362,252	16.4%
Furniture and equipment	1,330,829	1,367,282	740,141	519,029	2,070,970	1,886,311	9.8%
Construction in progress	18,425,817	11,117,848	-	-	18,425,817	11,117,848	65.7%
Total	$ 98,301,635	$ 92,353,764	$ 740,141	$ 519,029	$ 99,041,776	$ 92,872,793	6.6%

Long-Term Liabilities

As of June 30, 2021, the District had $29,970,000 in revenue bonds outstanding, $14,424,261 in general obligation bonds outstanding, $89,402 in capital lease liability, $456,089 in early retirement liabilities, $1,080,179 in total compensated absence liabilities, $5,302,588 in net OPEB liability, and $28,182,108 in net pension liability for total outstanding long-term obligations of $79,504,627 as reflected in Figure A-9 below. More detailed information about the District's long-term liabilities is available in Note 5 to the financial statements.

Figure A-9 Outstanding Long-Term Obligations

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	2021	2020	2021	2020	2021	2020	2020-21
Revenue bonds	$ 29,970,000	$ 33,360,000	$ -	$ -	$ 29,970,000	33,360,000	100.0%
GO bonds	14,424,261	16,258,441	-	-	14,424,261	16,258,441	100.0%
Capital Lease	89,402	175,750	-	-	89,402	175,750	100.0%
Early retirement	456,089	652,629	-	-	456,089	652,629	-30.1%
Compensated absences	1,080,179	1,045,642	-	-	1,080,179	1,045,642	3.3%
Net OPEB liability	5,090,484	4,471,219	212,104	186,301	5,302,588	4,657,520	13.9%
Net pension liability	27,620,132	23,009,691	561,976	467,405	28,182,108	23,477,096	20.0%
Total	$ 78,730,547	$ 78,973,372	$ 774,080	$ 653,706	$ 79,504,627	$ 79,627,078	-0.2%

Payments of early retirement benefits come out of the District's Management Fund. Payments of compensated absences are primarily made from the District's General Fund.

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The District continues to experience significant growth. The average annual growth in certified enrollment in the past ten years (2011-12 to 2020-21) has been 146.0 students per year. The District's certified enrollment has increased by 1,460 students (38.6%) during those ten years. The District's certified enrollment was up 115.8 students on the certified enrollment taken during the 2020-21 fiscal year. The average growth in the District's taxable valuations (including tax increment financing (TIF's)) over the last ten years has been 5.5%. In the 2020-21 fiscal year (taxable valuations as of January 1, 2019), the increase was 3.0%. The continuing growth has made it necessary for the District to complete several building addition and renovation projects over the past several years and as of the end of the 2020-21 fiscal year, construction was substantially complete on the District's sixth elementary school (Forest Grove Elementary School, which opened in the 2021-22 school year). Additional borrowing of funds for more building additions and renovations, possible land purchases for future school sites, etc. may become necessary over the next few years as the District works to keep up with the student growth. While this growth has a positive impact, it also brings with it significant challenges in maintaining the District's infrastructure to accommodate this growth in an orderly and efficient manner.

- The Iowa Legislature set the supplemental state aid (formerly known as allowable growth) percentage at 2.30% for the 2020-21 fiscal year and 2.40% for the 2021-22 fiscal year. Supplemental state aid has only averaged 1.77% over the past five years. The Iowa Legislature has not yet set the supplemental state aid rate for the 2022-23 fiscal year. As the District's General Fund budget is comprised of approximately 75-80% salary and benefits, wage and salary adjustments arrived at through the District's formal negotiations process will have a significant impact on future budget spending decisions.

- A nationwide labor shortage has made it increasingly difficult to retain and recruit qualified staff. Salaries and benefits expenditures are expected to increase as a result of the current labor market.

- Global supply chain disruptions and significant increases in inflation have driven the prices of goods and services past projected budget allocations.

- American Recovery Funding resources received as a result of the pandemic will be fully expended in the 2022-23 fiscal year. The impact of the loss of this funding along with other impacts of COVID-19 on the District's financial health is not fully known.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, and investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Mike Clingingsmith, Chief Financial Officer, Pleasant Valley Community School District, 525 Belmont Rd., Bettendorf, Iowa 52722.

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Basic Financial Statements

Pleasant Valley Community School District

Statement of Net Position
June 30, 2021

	Governmental Activities	Business-Type Activities	Total
Assets			
Cash and pooled investments	$ 37,330,707	$ 1,941,400	$ 39,272,107
Receivables:			
Property tax:			
Current year	102,163	-	102,163
Succeeding year	23,790,000	-	23,790,000
Accounts	782,913	3,969	786,882
Due from other governments	2,765,271	-	2,765,271
Inventories	-	30,405	30,405
Prepaid expenses	359,298	10,596	369,894
Capital assets:			
Nondepreciable	19,786,372	-	19,786,372
Depreciable, net	78,515,263	740,141	79,255,404
Total assets	163,431,987	2,726,511	166,158,498
Deferred Outflows of Resources:			
Pension related deferred outflows	6,776,573	134,035	6,910,608
OPEB related deferred outflows	1,947,433	81,142	2,028,575
Total deferred outflows of resources	8,724,006	215,177	8,939,183

Liabilities	Governmental Activities	Business-Type Activities	Total
Accounts payable	1,624,113	927	1,625,040
Salaries and benefits payable	5,669,055	-	5,669,055
Due to other governments	1,850,834	-	1,850,834
Claims incurred but not reported	137,581	-	137,581
Accrued interest	35,288	-	35,288
Unearned revenue	111,700	198,611	310,311
Long-term liabilities:			
Portion due within one year:			
Revenue bonds	3,455,000	-	3,455,000
General obligation bonds	1,840,000	-	1,840,000
Early retirement	327,806	-	327,806
Capital lease	89,402	-	89,402
Compensated absences	782,331	-	782,331
Portion due after one year:			
Revenue bonds	26,515,000	-	26,515,000
General obligation bonds	12,584,261	-	12,584,261
Compensated absences	297,848	-	297,848
Early retirement	128,283	-	128,283
Net OPEB liability	5,090,484	212,104	5,302,588
Net pension liability	27,620,132	561,976	28,182,108
Total liabilities	88,159,118	973,618	89,132,736
Deferred Inflows of Resources:			
Deferred revenue from succeeding year property tax	23,790,000	-	23,790,000
Pension related deferred inflows	654,645	13,343	667,988
OPEB related deferred inflows	318,036	13,251	331,287
Total deferred inflows of resources	24,762,681	26,594	24,789,275
Net Position			
Net investment in capital assets	61,834,605	740,141	62,574,746
Restricted for:			
Categorical funding	895,985	-	895,985
Management levy	2,195,643	-	2,195,643
Physical plant and equipment levy	335,442	-	335,442
School infrastructure	5,023,416	-	5,023,416
Other special revenue purposes	780,395	-	780,395
Debt service	289,304	-	289,304
Other	-	32,205	32,205
Unrestricted	(12,120,596)	1,169,130	(10,951,466)
Total net position	$ 59,234,194	$ 1,941,476	$ 61,175,670

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Activities
Year Ended June 30, 2021

Functions/Programs	Expenses
Governmental activities:	
Instruction:	
Regular instruction	$ 32,063,358
Special instruction	6,055,626
Other	5,663,271
	43,782,255
Support services:	
Student services	1,974,779
Instructional staff services	4,168,647
Administration services	5,763,843
Operation and maintenance of plant services	3,615,929
Transportation services	1,959,282
	17,482,480
Noninstructional programs	23,195
Other:	
Long term debt interest	1,214,348
AEA flowthrough	2,375,720
	3,590,068
Total governmental activities	64,877,998
Business-type activities:	
Noninstructional programs, food service operations	1,964,268
Total business-type activities	1,964,268
Total	$ 66,842,266
General revenues:	
Property tax levied for:	
General purposes	
Capital outlay	
Other specific purposes	
Statewide sales and services tax	
Unrestricted state grants	
Unrestricted investment earnings	
Gain on sale of capital assets	
Other	
Total general revenues	
Transfers	
Total general revenues and transfers	
Change in net position	
Net position, beginning of year	
Net position, end of year	

See Notes to Basic Financial Statements.

	Program Revenues		Net (Expense) Revenue and Changes in Net Position		
Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total
$ 2,689,110	$ 5,928,372	$ -	$ (23,445,876)	$ -	$ (23,445,876)
-	1,973,216	-	(4,082,410)	-	(4,082,410)
714,982	90	-	(4,948,199)	-	(4,948,199)
3,404,092	7,901,678	-	(32,476,485)	-	(32,476,485)
-	-	-	(1,974,779)	-	(1,974,779)
-	-	-	(4,168,647)	-	(4,168,647)
-	-	-	(5,763,843)	-	(5,763,843)
22,376	-	-	(3,593,553)	-	(3,593,553)
-	42,906	-	(1,916,376)	-	(1,916,376)
22,376	42,906	-	(17,417,198)	-	(17,417,198)
-	-	-	(23,195)	-	(23,195)
-	-	-	(1,214,348)	-	(1,214,348)
-	2,375,720	-	-	-	-
-	2,375,720	-	(1,214,348)	-	(1,214,348)
3,426,468	10,320,304	-	(51,131,226)	-	(51,131,226)
428,604	1,808,630	-	-	272,966	272,966
428,604	1,808,630	-	-	272,966	272,966
$ 3,855,072	$ 12,128,934	$ -	(51,131,226)	272,966	(50,858,260)
			21,072,520	-	21,072,520
			3,236,818	-	3,236,818
			759,226	-	759,226
			5,587,148	-	5,587,148
			24,430,506	-	24,430,506
			813,563	5,743	819,306
			5,975	-	5,975
			470,971	-	470,971
			56,376,727	5,743	56,382,470
			(84,150)	84,150	-
			56,292,577	89,893	56,382,470
			5,161,351	362,859	5,524,210
			54,072,843	1,578,617	55,651,460
			$ 59,234,194	$ 1,941,476	$ 61,175,670

Pleasant Valley Community School District

Balance Sheet
Governmental Funds
June 30, 2021

	General	Capital Projects	Nonmajor	Total
Assets				
Cash and pooled investments	$ 17,384,913	$ 13,107,761	$ 3,399,646	$ 33,892,320
Receivables:				
Property tax:				
Current year	86,040	13,010	3,113	102,163
Succeeding year	20,010,000	3,060,000	720,000	23,790,000
Accounts	2,278	3,353	19,525	25,156
Due from other governments	1,600,027	1,165,244	-	2,765,271
Prepaid items	358,172	-	1,126	359,298
Total assets	$ 39,441,430	$ 17,349,368	$ 4,143,410	$ 60,934,208
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	$ 574,025	$ 1,003,279	$ 45,242	$ 1,622,546
Salaries and benefits payable	5,669,055	-	-	5,669,055
Due to other governments	1,850,834	-	-	1,850,834
Unearned revenue	-	-	111,700	111,700
Total liabilities	8,093,914	1,003,279	156,942	9,254,135
Deferred Inflows of Resources:				
Unavailable revenue:				
Succeeding year property tax	20,010,000	3,060,000	720,000	23,790,000
Statewide sales and services tax	-	736,636	-	736,636
Total deferred inflows of resources	20,010,000	3,796,636	720,000	24,526,636
Fund balances:				
Nonspendable	358,172	-	1,126	359,298
Restricted for:				
Categorical funding	895,985	-	-	895,985
Management levy	-	-	2,195,643	2,195,643
Physical plant and equipment levy	-	335,442	-	335,442
School infrastructure	-	12,214,011	-	12,214,011
Student activity purposes	-	-	780,395	780,395
Debt service	-	-	289,304	289,304
Assigned primarily for transportation	3,162,842	-	-	3,162,842
Unassigned	6,920,517	-	-	6,920,517
Total fund balances	11,337,516	12,549,453	3,266,468	27,153,437
Total liabilities, deferred inflows of resources, and fund balances	$ 39,441,430	$ 17,349,368	$ 4,143,410	$ 60,934,208

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Reconciliation of the Balance Sheet -
Governmental Funds to the Statement of Net Position
June 30, 2021

Total fund balances of governmental funds	$ 27,153,437
Amounts reported for governmental activities in the Statement of Net Position are different because:	
Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds.	98,301,635
Other long-term assets are not available to pay for current period expenditures and, therefore, are unavailable in the funds.	736,636
The Internal Service Fund is used to charge costs of the District's self-funded insurance plan to the governmental funds. The net position of the Internal Service Fund is therefore included under governmental activities.	4,056,996
Pension and OPEB related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:	
Deferred outflows of resources related to pension	6,776,573
Deferred inflows of resources related to pension	(654,645)
Deferred inflows of resources related to OPEB	(318,036)
Deferred outflows of resources related to OPEB	1,947,433
Long-term liabilities, including bonds payable and compensated absences, are not due and payable in the current period and, therefore, are not reported as liabilities in the governmental funds.	
Revenue bonds	(29,970,000)
General obligation bonds	(14,115,000)
Premium on issuance of general obligation bonds	(309,261)
Accrued interest	(35,288)
Capital lease	(89,402)
Early retirement	(456,089)
Compensated absences	(1,080,179)
Net OPEB liability	(5,090,484)
Net pension liability	(27,620,132)
Net position of governmental activities	$ 59,234,194

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Revenues, Expenditures and Changes in Fund Balances
Governmental Funds
Year Ended June 30, 2021

	General	Capital Projects	Nonmajor	Total
Revenues:				
Local sources:				
Local tax	$ 21,072,520	$ 3,236,818	$ 759,226	$ 25,068,564
Tuition	2,082,409	-	-	2,082,409
Other	673,897	759,930	723,895	2,157,722
State sources	33,174,742	5,155,759	8,244	38,338,745
Federal sources	1,973,215	18,011	-	1,991,226
Total revenues	58,976,783	9,170,518	1,491,365	69,638,666
Expenditures:				
Current:				
Instruction	37,830,194	367,667	915,606	39,113,467
Support services:				
Student services	1,885,569	-	21,785	1,907,354
Instructional staff services	3,977,253	-	52,200	4,029,453
Administration services	4,932,893	71,345	136,011	5,140,249
Operation and maintenance of plant services	3,211,093	140,139	378,006	3,729,238
Transportation services	1,749,667	190,000	17,795	1,957,462
	15,756,475	401,484	605,797	16,763,756
Noninstructional programs	604	-	22,591	23,195
Other expenditures:				
Facilities acquisition	-	9,757,645	-	9,757,645
AEA flowthrough	2,375,720	-	-	2,375,720
	2,375,720	9,757,645	-	12,133,365
Debt service:				
Principal	-	-	5,266,348	5,266,348
Interest	-	2,100	1,260,903	1,263,003
	-	2,100	6,527,251	6,529,351
Total expenditures	55,962,993	10,528,896	8,071,245	74,563,134
Excess (deficiency) of revenues over (under) expenditures	3,013,790	(1,358,378)	(6,579,880)	(4,924,468)
Other financing sources (uses):				
Interfund transfers in	115,850	97,931	6,457,018	6,670,799
Interfund transfers (out)	(22,273)	(6,434,745)	-	(6,457,018)
Proceeds from sale of capital assets	5,975	-	-	5,975
Total other financing sources (uses)	99,552	(6,336,814)	6,457,018	219,756
Net change in fund balance	3,113,342	(7,695,192)	(122,862)	(4,704,712)
Fund balances, beginning of year	8,224,174	20,244,645	3,389,330	31,858,149
Fund balances, end of year	$ 11,337,516	$ 12,549,453	$ 3,266,468	$ 27,153,437

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances - Governmental Funds to the Statement of Activities
Year Ended June 30, 2021

Net change in fund balances - total governmental funds			$ (4,704,712)
Amounts reported for governmental activities in the Statement of Activities are different because:			
Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, those costs are not reported in the Statement of Net Position and are allocated over their estimated useful lives as depreciation expense in the Statement of Activities. The amounts of capital outlays and depreciation expense in the year are as follows:			
Capital outlay	$	9,490,947	
Depreciation expense		(3,543,076)	5,947,871
Proceeds from the sale of capital assets		(5,975)	
Gain on disposal of capital assets		5,975	
Capital outlay for nutrition assets		297,930	
Transfer of equipment to nutrition fund		(297,930)	-
Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds, change in unavailable revenues.			461,870
The increase in net position of the Internal Service Fund represents an overcharge to the governmental funds and is incorporated into the change in net position of governmental activities.			166,918
Some expenses reported in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds, as follows:			
Repayment of revenue bond and general obligation bond principal		5,180,000	
Repayment of capital lease		86,348	
Amortization of premium		44,180	
Interest expense		4,475	
Pension expense		(1,587,481)	
Early retirement		196,540	
Compensated absences		(34,537)	
Net OPEB liability		(600,121)	3,289,404
Change in net position of governmental activities			$ 5,161,351

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Net Position
Proprietary Funds
June 30, 2021

	Nonmajor Enterprise Fund School Nutrition	Internal Service Fund
Assets		
Current:		
Cash and cash equivalents	$ 1,941,400	$ 3,438,387
Accounts receivable	3,969	757,757
Inventories	30,405	-
Prepaid expense	10,596	-
Total current assets	1,986,370	4,196,144
Noncurrent:		
Capital assets, net of accumulated depreciation	740,141	-
Total assets	2,726,511	4,196,144
Deferred Outflows of Resources:		
Pension related deferred outflows	134,035	-
OPEB related deferred outflows	81,142	-
Total deferred outflows of resources	215,177	-
Liabilities		
Current:		
Accounts payable	927	1,567
Claims incurred but not reported	-	137,581
Unearned revenue, other	198,611	-
Total current liablities	199,538	139,148
Noncurrent:		
Net OPEB liability	212,104	-
Net pension liability	561,976	-
Total liabilities	973,618	139,148
Deferred Inflows of Resources:		
Pension related deferred inflows	13,343	-
OPEB related deferred inflows	13,251	-
Total deferred inflows of resources	26,594	-
Net Position		
Net investment in capital assets	740,141	-
Restricted, for food service	32,205	-
Unrestricted	1,169,130	4,056,996
Total net position	$ 1,941,476	$ 4,056,996

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Revenues, Expenses and Changes in Net Position
Proprietary Funds
Year Ended June 30, 2021

	Nonmajor Enterprise Fund School Nutrition	Internal Service Fund
Operating revenues:		
Local sources, charges for services	$ 428,604	$ 5,804,854
Operating expenses:		
Support services:		
Employee benefits	-	7,696
Purchased services	-	5,626,603
Other	-	20,624
	-	5,654,923
Noninstructional programs:		
Salaries	638,905	-
Benefits	225,987	-
Purchased services	28,863	-
Supplies	954,070	-
Depreciation	114,254	-
Miscellaneous	164	-
	1,962,243	-
Total operating expenses	1,962,243	5,654,923
Operating income (loss)	(1,533,639)	149,931
Nonoperating revenues (expenses):		
Loss on disposal of capital assets	(2,025)	-
Interest on investments	5,743	16,987
State sources	12,090	-
Federal sources	1,796,540	-
Total nonoperating revenues (expenses)	1,812,348	16,987
Income before capital contributions and transfers	278,709	166,918
Capital contributions	297,931	-
Transfers out	(213,781)	-
Change in net position	362,859	166,918
Net position, beginning of year	1,578,617	3,890,078
Net position, end of year	$ 1,941,476	$ 4,056,996

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Cash Flows
Proprietary Funds
Year Ended June 30, 2021

	Nonmajor Enterprise Fund School Nutrition	Internal Service Fund
Cash flows from operating activities:		
Cash received from sale of lunches and breakfasts	$ 397,796	$ -
Cash received from miscellaneous operating activities	-	5,767,443
Cash payments to employees for services	(807,324)	(7,696)
Cash payments to suppliers for goods or services	(789,021)	(5,662,647)
Net cash provided by (used in) operating activities	(1,198,549)	97,100
Cash flows from noncapital financing activities:		
Transfers to other funds	(213,781)	-
State grants received	12,090	-
Federal grants received	1,623,228	-
Net cash provided by noncapital financing activities	1,421,537	-
Cash flows (used in) capital related financing activities,		
Acquisition of capital assets	(39,460)	-
Cash flows from investing activities, interest on investments	5,743	16,987
Net increase in cash and cash equivalents	189,271	114,087
Cash and cash equivalents, beginning of year	1,752,129	3,324,300
Cash and cash equivalents, end of year	$ 1,941,400	$ 3,438,387
Reconciliation of operating income (loss) to net cash provided by operating activities:		
Operating income (loss)	$ (1,533,639)	$ 149,931
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:		
Depreciation	114,254	-
Commodities used	173,312	-
(Increase) in accounts receivable	(1,431)	(37,411)
Decrease in inventories	20,093	-
(Increase) in prepaid expenses	(157)	-
Increase (decrease) in accounts payable	828	(12,874)
Increase in net OPEB liability and related deferrals	25,005	-
Increase in pension and related deferrals	32,563	-
(Decrease) in claims incurred but not reported	-	(2,546)
(Decrease) in unearned revenue	(29,377)	-
Net cash provided by (used in) operating activities	$ (1,198,549)	$ 97,100
Schedule of noncash items:		
Noncapital financing activities, federal commodities	$ 173,312	$ -
Capital and related financing activities, contribution of capital assets	$ 297,931	$ -

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Fiduciary Net Position
Fiduciary Fund
June 30, 2021

	Custodial
Assets	
Cash and pooled investments	$ 23,245
Liabilities	
Accounts payable	$ 2,766
Net position	$ 20,479

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Changes in Fiduciary Net Position
Fiduciary Fund
June 30, 2021

	Custodial
Additions	
Contributions	$ 134,025
Total additions	134,025
Deductions	
Administrative expenses	146,931
Total deductions	146,931
Change in net position	(12,906)
Net position, beginning of the year	33,385
Net position, end of the year	$ 20,479

See Notes to Basic Financial Statements.

Note 1. Summary of Significant Accounting Policies

Pleasant Valley Community School District (the District) is a political subdivision of the state of Iowa and operates public schools for children in grades kindergarten through twelve. The District also operates a preschool program. The geographic area served includes the Township of Pleasant Valley, Iowa, the City of LeClaire, Iowa, portions of the City of Bettendorf, Iowa and portions of the agricultural territory of Scott County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

The District’s financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board.

Reporting entity:

For financial reporting purposes, Pleasant Valley Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District’s financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization’s governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District. Pleasant Valley Community School District has no component units which meet the Governmental Accounting Standards Board criteria.

Jointly governed organizations: The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Scott County Assessor’s Conference Board.

Basis of presentation:

District-wide financial statements: The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Interfund services provided and used are not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District’s nonfiduciary assets, deferred outflows of resources and liabilities and deferred inflows of resources, with the difference reported as net position. Net position is reported in three categories:

Net investment in capital assets consists of capital assets, including restricted capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes and other debt attributable to the acquisition, construction or improvements of those assets.

Restricted net position results when constraints placed on net position use are either externally imposed by creditors, grantors, contributors or laws and regulations of other governments or imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position that does not meet the definition of the two preceding categories. Unrestricted net position often has constraints on resources imposed by management which can be removed or modified.

Note 1. Summary of Significant Accounting Policies (Continued)

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segments are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customer or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the District-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities.

The other governmental funds of the District are considered nonmajor and are as follows:

Special Revenue Funds: Are used to account for the revenue sources that are legally restricted to expenditures for specific purposes:

The Management Fund accounts for tort liability insurance premiums, unemployment compensation insurance claims and early retirement incentive payments.

The Student Activity Fund accounts for money held by the District on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular to extracurricular activities of the District.

Debt Service Fund: Accounts for the accumulation of resources for, and the payment of, general long-term debt principal, interest and related costs. Revenue of the fund primarily consists of local property taxes.

Proprietary fund types are used to account for the District's ongoing organizations and activities which are similar to those often found in the private sector. The measurement focus is upon income determination, financial position, and cash flows. The District has two proprietary funds, an enterprise fund and an internal service fund.

Note 1. Summary of Significant Accounting Policies (Continued)

Enterprise funds are used to account for those operations that are financed and operating in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability. The District's nonmajor enterprise fund is the Nutrition Fund which accounts for the food service operations of the District.

The Internal Service Fund is used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District's Internal Service Fund is used to account for the premium and claim payments for the self-insured health insurance plans for District employees.

The District also reported fiduciary funds which focus on net position and changes in net position. The District's fiduciary funds include the following:

The Custodial Fund is used to account for assets held by the District as an agent for individuals, private organizations and other governments. These are funds for District employee purchases of pop, funeral flowers, and related expenditures and expenditures for various club accounts.

Measurement focus and basis of accounting:

The District-wide financial statements and the proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year-end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

Note 1. Summary of Significant Accounting Policies (Continued)

Proprietary funds distinguished operating revenues and expenses from nonoperating items. Operating revenues and expense generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's enterprise fund is charges to customers for sales and services. Operating expenses for enterprise funds include the cost of sales and services, administrative expenses and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Assets, deferred outflows of resources, liabilities, deferred inflows of resources and fund equity:
The following accounting policies are followed in preparing the financial statements:

Cash, pooled investments and cash equivalents: The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for short-term nonnegotiable certificates of deposit, which are stated at cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and, at the day of purchase, have maturity date no longer than three months.

Property tax receivable: Property tax in governmental funds is accounted for using the modified accrual basis of accounting. Property tax receivable is recognized in these funds on the levy or lien date, which is the date that the tax asking is certified by the Board of Education. Current year property tax receivable represents unpaid taxes from the current year. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the District-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied. The property tax revenue recognized in these funds was due and collectible in September and March of the fiscal year with 1½ percent per month penalty for delinquent payments; is based on January 1, 2019 assessed property valuations; is for the tax accrual period July 1, 2020 through June 30, 2021 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2020.

Due from other governments: Due from other governments represents amounts due from the state of Iowa, various shared revenues, grants and reimbursements from other governments.

Inventories: Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Prepaid items: The District accounts for the prepaid items by using the purchases method.

Note 1. Summary of Significant Accounting Policies (Continued)

Capital assets: Capital assets, which include property, furniture and equipment, are reported in the applicable governmental or business-type activities columns in the District-wide Statement of Net Position. Capital assets are recorded at historical cost. Donated capital assets are recorded at acquisition value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Asset Class	Amount
Land	$ 1
Buildings	25,000
Improvements other than buildings	25,000
Intangibles	100,000
Furniture and equipment:	
School Nutrition Fund equipment	300
Other furniture and equipment	2,500

Capital assets are depreciated using the straight-line method of depreciation over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	20 - 40 years
Improvements other than buildings	15 - 40 years
Furniture and equipment	5 - 15 years

Salaries and benefits payable: Payroll and related expenses for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

Unearned revenue: Unearned revenue consists primarily of school registration fees, activity fees and meal revenues collected for the programs and services in the next school year.

Compensated absences: District employees accumulate a limited amount of earned but unused vacation and sick leave for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the District-wide financial statements. A liability for these amounts is reported in governmental fund financial statements only for employees who have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2021. The compensated absences liability attributable to the governmental activities will be paid primarily by the General Fund and by the Special Revenue Fund, Management Levy.

Note 1. Summary of Significant Accounting Policies (Continued)

Pensions — For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

Cash flows: For the purpose of cash flows, the District considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents.

Fund equity: In the governmental fund financial statements fund balances are classified as follows:

Nonspendable: Balances that cannot be spent because they are not expected to be converted to cash or they are legally or contractually required to remain intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes determined pursuant to constraints formally imposed by the Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts.

Assigned: Amounts in the assigned fund balance classification are intended to be used by the District for specific purposes but do not meet the criteria to be classified as committed. The authority to assign fund balances has been delegated to the Chief Financial Officer by the Board of Education. The District has assigned $3,162,842 primarily for transportation. Unlike commitments, assignments only exist temporarily. An additional action does not normally have to be taken for the removal of an assignment.

Unassigned: All amounts not included in other spendable classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. Residual deficit amounts of other governmental funds would also be reported as unassigned.

The District's flow of funds assumption prescribes that the funds with the highest level of constraint are expended first. When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is to first apply the expenditure toward restricted fund balance and then to less restrictive classifications –assigned and then unassigned fund balances.

Note 1. Summary of Significant Accounting Policies (Continued)

Deferred outflows/inflows of resources: In addition to assets, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of fund balance or net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expenses/expenditures) until then. The District's deferred outflows of resources consist of unrecognized items not yet charged to pension expense and contributions from the employer after the measurement date but before the end of the employer's reporting period and OPEB related deferred outflows.

In addition to liabilities, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of fund balance or net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The District's deferred inflows of resources consist of deferred revenue, the unamortized portion of differences between expected and actual experience for pensions and the unamortized portion of the changes in assumptions for other postemployment benefits.

The District reports unavailable revenue in the governmental funds balance sheet from the statewide sales and services tax, grants and property tax. This amount is deferred and recognized as an inflow of resources in the period that the amounts become available. In the District's government-wide statements, only the succeeding year property tax revenue remains as a deferred inflow of resources under the full accrual basis of accounting and will become an inflow in the year for which levied. The District also reports pension and OPEB related deferred outflows in the government-wide statements and the proprietary fund statements.

Net position: In proprietary funds, fiduciary funds, and government-wide financial statements, net position represents the difference between assets, deferred outflows of resources, liabilities, and deferred inflows of resources. Net investment in capital assets, consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. As of June 30, 2021, the District had $7,927,231 of unspent bond proceeds. Net position is reported as restricted when there are limitations imposed on their use through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments.

Net position restricted by enabling legislation as of June 30, 2021 consists of $895,985 for categorical funding, $2,195,643 for management levy purposes, $335,442 for physical plant and equipment levy, $5,023,416 for school infrastructure, $780,395 for student activity purposes and $289,304 for debt service.

Net position flow assumption: Sometimes the District will fund outlays for a particular purpose from both restricted (e.g. restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted-net position and unrestricted-net position in the government-wide and proprietary fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the District's policy to consider restricted-net position to have been depleted before unrestricted-net position is applied.

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Note 1. Summary of Significant Accounting Policies (Continued)

Budgets and budgetary control:

In accordance with the Code of Iowa, the District's Board of Education annually adopts a single district-wide budget and approves the related appropriations following required public notice and hearing for all funds. The budgets and related appropriations as well as the financial statements are prepared on the modified accrual basis or accrual basis of accounting. The budget may be amended during the year utilizing similar statutorily prescribed procedures. Formal and legal budgetary control for the certified budget is based upon four major classes of disbursement known as functional areas, not by fund. These four functional areas are instruction, support services, noninstructional programs and other expenditures. The Code of Iowa also provides that District disbursements in the General Fund may not exceed the amount authorized by the school finance formula. The budgetary comparison and related disclosures are reported as Required Supplementary Information. During the year ended June 30, 2021, expenditures did not exceed the amounts budgeted.

Note 2. Cash and Pooled Investments

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

The District's cash and pooled investment consisted of depository accounts at financial institutions including short-term nonnegotiable certificate of deposits.

<u>Custodial credit risk:</u> The District's deposits in banks as of June 30, 2021 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This Chapter provides for additional assessments against the depositories to insure there will be no loss of public funds. The district does not have a separate custodial credit risk policy from state statutes.

<u>Credit risk:</u> The District does not have a separate credit risk or interest rate risk policy from state statutes. The District does not have any investments as of June 30, 2021.

Note 3. Interfund Transfers

The detail of interfund transfers for the year ended June 30, 2021 is as follows:

Transfer To	Transfer From	Amount
General	Nonmajor enterprise fund, Nutrition	$ 115,850
Capital Projects	Nonmajor enterprise fund, Nutrition	97,931
Nonmajor governmental fund,		
Debt Service	Capital Projects	6,434,745
Student Activity	General	22,273
		$ 6,670,799

Transfers generally move revenues from the fund statutorily required to collect the resources to the fund statutorily required to expend the resources. Transfers from the Capital Projects Fund to the Debt Service Fund are to make principal and interest payments on the District's revenue bonds.

Note 4. Capital Assets

Capital assets activity for the year ended June 30, 2021 is as follows:

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated:				
Land	$ 1,360,555	$ -	$ -	$ 1,360,555
Construction in progress	11,117,848	8,937,974	1,630,005	18,425,817
Total capital assets not being depreciated	12,478,403	8,937,974	1,630,005	19,786,372
Capital assets being depreciated:				
Buildings	110,084,112	744,960	-	110,829,072
Improvements other than buildings	8,922,659	1,227,436	-	10,150,095
Furniture and equipment	8,931,642	210,582	29,294	9,112,930
Total capital assets being depreciated	127,938,413	2,182,978	29,294	130,092,097
Less accumulated depreciation for:				
Buildings	35,938,285	2,783,989	-	38,722,274
Improvements other than buildings	4,560,407	512,052	-	5,072,459
Furniture and equipment	7,564,360	247,035	29,294	7,782,101
Total accumulated depreciation	48,063,052	3,543,076	29,294	51,576,834
Total capital assets being depreciated, net	79,875,361	(1,360,098)	-	78,515,263
Governmental activities capital assets, net	$ 92,353,764	$ 7,577,876	$ 1,630,005	$ 98,301,635
Business-type activities:				
Furniture and equipment	$ 1,538,837	$ 337,391	$ 48,021	$ 1,828,207
Less accumulated depreciation	1,019,808	114,254	45,996	1,088,066
Business-type activities capital assets, net	$ 519,029	$ 223,137	$ 2,025	$ 740,141

Note 4. Capital Assets (Continued)

Depreciation expense was charged by the District to the following functions:

Governmental activities:		
Instruction	$	3,361,924
Support services:		
Administration		66,834
Operation and maintenance of plant services		114,318
Total governmental activities depreciation expense	$	3,543,076
Business-type activities, food service operations	$	114,254

Note 5. Long-Term Liabilities

A summary of changes in long-term liabilities for the year ended June 30, 2021 is as follows:

	Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
Revenue bonds, Series 2015	$ 3,460,000	$ -	$ 1,715,000	$ 1,745,000	$ 1,745,000
Revenue bonds, Series 2016	7,335,000	-	925,000	6,410,000	945,000
Revenue bonds, Series 2017	8,950,000	-	350,000	8,600,000	350,000
Revenue bonds, Series 2018	13,615,000	-	400,000	13,215,000	415,000
GO bonds, Series 2018	15,905,000	-	1,790,000	14,115,000	1,840,000
Premium on GO bonds	353,441	-	44,180	309,261	-
Capital lease	175,750	-	86,348	89,402	89,402
Early retirement	652,629	256,567	453,107	456,089	327,806
Compensated absences	1,045,642	1,084,482	1,049,945	1,080,179	782,331
Net OPEB liability	4,471,219	619,265	-	5,090,484	-
Net pension liability	23,009,691	4,610,441	-	27,620,132	-
Total	$ 78,973,372	$ 6,570,755	$ 6,813,580	$ 78,730,547	$ 6,494,539
Business-type activities:					
Net OPEB liability	$ 186,301	$ 25,803	$ -	$ 212,104	$ -
Net pension liability	467,405	94,571	-	561,976	-
Total	$ 653,706	$ 120,374	$ -	$ 774,080	$ -

Note 5. Long-Term Liabilities (Continued)

General obligation bonds: In October 2018, the District issued $17,640,000 General Obligation School Capital Loan Notes, Series 2018 for capital facility construction/building improvement purposes. The bonds provide for the serial retirement of principal payable annually on June 1 and interest due semiannually at 3% with maturity on June 1, 2028. The general obligation bonds will be paid through voter-approved physical plant and equipment property tax. Annual Debt Service requirements of the general obligation bonded indebtedness are as follows:

	Direct Borrowing and Direct Placement General Obligation School Capital Loan Notes, Series 2018		
Year ending June 30:	Principal	Interest	Total
2022	$ 1,840,000	$ 423,450	$ 2,263,450
2023	1,895,000	368,250	2,263,250
2024	1,955,000	311,400	2,266,400
2025	2,015,000	252,750	2,267,750
2026	2,075,000	192,300	2,267,300
2027	2,135,000	130,050	2,265,050
2028	2,200,000	66,000	2,266,000
Totals	$ 14,115,000	$ 1,744,200	$ 15,859,200

Revenue bonds: In December 2015, the District issued $10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2015 for capital improvements to school buildings. Bond principal is payable annually on July 1 beginning July 1, 2018 through July 1, 2022. The bonds have an interest rate of 1.78 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total principal and interest remaining to be paid on the bonds as of June 30, 2021 is $1,776,061. During the year ended June 30, 2021, $1,715,000 principal was paid and $61,588 of interest was paid on the bonds.

In October 2016, the District issued $10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2016 for capital improvements to school buildings. Bond principal is payable annually on July 1 beginning July 1, 2020 through July 1, 2029. The bonds have an interest rate of 1.96 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total principal and interest remaining to be paid on the bonds as of June 30, 2021 is $6,972,618. During the year ended June 30, 2021, $925,000 principal was paid and $143,766 of interest was paid on the bonds.

Note 5. Long-Term Liabilities (Continued)

In October 2017, the District issued $10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2017 for capital improvements to school buildings. Bond principal is payable annually on July 1, through July 1, 2029. The bonds have an interest rate of 1.94 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total remaining principal and interest remaining to be paid on the bonds as of June 30, 2021 is $9,421,690. During the year ended June 30, 2021, $350,000 principal was paid and $173,630 of interest was paid on the bonds.

In October 2018, the District issued $14,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2020 for capital improvements to school buildings. Bond principal is payable annually on July 1, beginning July 1, 2020 through July 1, 2029. The bonds have an interest rate of 2.93 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total remaining principal and interest remaining to be paid on the bonds as of June 30, 2021 is $15,140,452. During the year ended June 30, 2021, $400,000 principal was paid and $398,900 of interest was paid on the bonds.

During the year ended June 30, 2021 the statewide sales, services, and use tax revenues were $5,117,291 for the year ended June 30, 2021. The pledge of statewide sales, service and use tax revenues for this bond and parity bonds constitutes approximately 97% of annual statewide sales, service and use tax revenues of the District.

The resolutions providing for the issuance of the revenue bonds included the following provisions:

- All proceeds from the statewide sales, service and use tax shall be deposited into the revenue account.
- Monies in the revenue account shall first be disbursed to make deposits into the sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year. At June 30, 2021, there was $289,304 deposited in the sinking account in the Debt Service Fund.
- If monies in the sinking fund exceed the required amount, the excess shall be transferred to the revenue account. At June 30, 2021, there was no amount deposited into a surplus account.

Annual debt service requirements on all outstanding indebtedness as of June 30, 2021, are as follows:

	Revenue Bonds, Series 2015		
Year ending June 30:	Principal	Interest	Total
2022	$ 1,745,000	$ 31,061	$ 1,776,061

Note 5. Long-Term Liabilities (Continued)

	Revenue Bonds, Series 2016		
Year ending June 30:	Principal	Interest	Total
2022	$ 945,000	$ 125,636	$ 1,070,636
2023	735,000	107,114	842,114
2024	750,000	92,708	842,708
2025	765,000	78,008	843,008
2026	780,000	63,014	843,014
2027	795,000	47,726	842,726
2028	810,000	32,144	842,144
2029	830,000	16,268	846,268
Totals	$ 6,410,000	$ 562,618	$ 6,972,618

	Revenue Bonds, Series 2017		
Year ending June 30:	Principal	Interest	Total
2022	$ 350,000	$ 166,840	$ 516,840
2023	1,100,000	160,050	1,260,050
2024	1,125,000	138,710	1,263,710
2025	1,150,000	116,885	1,266,885
2026	1,175,000	94,575	1,269,575
2027	1,205,000	71,780	1,276,780
2028	1,235,000	48,403	1,283,403
2029	1,260,000	24,444	1,284,444
Totals	$ 8,600,000	$ 821,687	$ 9,421,687

Note 5. Long-Term Liabilities (Continued)

	Revenue Bonds, Series 2018		
Year ending June 30:	Principal	Interest	Total
2022	$ 415,000	$ 387,200	$ 802,200
2023	1,690,000	375,040	2,065,040
2024	1,735,000	325,524	2,060,524
2025	1,780,000	274,688	2,054,688
2026	1,830,000	222,534	2,052,534
2027	1,875,000	168,914	2,043,914
2028	1,925,000	113,978	2,038,978
2029	1,965,000	57,574	2,022,574
Totals	$ 13,215,000	$ 1,925,452	$ 15,140,452

Computer Lease: The District entered into a lease agreement with Apple Computer, Inc. on April 21, 2018, for computers. Annual principal and interest payments are made from the Capital Projects Fund, Physical Plant and Equipment Levy account. In 2021, $86,348 principal was paid and $6,217 of interest. The computers do not meet the District's capitalization thresholds. The following is a payment schedule for the computer lease:

	Capital Lease		
Year ending June 30:	Principal	Interest	Total
2022	$ 89,402	$ 3,163	$ 92,565

As of June 30, 2021, the District did not exceed its legal debt margin computed as follows:

Total assessed valuation	$ 3,275,467,091
Debt limit, 5% of total assessed valuation	$ 163,773,355
Amount of debt applicable to debt limitation	44,483,663
Legal debt margin	$ 119,289,692

Note 5. Long-Term Liabilities (Continued)

Early retirement: The District offered a voluntary early retirement plan to its certified, administrative and classified employees. Eligible employees must be at least age 55 and employees must have completed 15 years of service to the District. Employees must complete an application which is required to be approved by the Board of Education.

For administrative and certified personnel, the early retirement incentive for each eligible employee is equal to 50 percent of the employee's base salary calculated by using the current year regular salary schedule. For classified personnel, the early retirement incentive for each eligible employee is the product of 50 percent of the number of unused sick leave days (limited to a maximum number of days in the employee's letter of assignment) times the employee's hourly wage rate on the last day of employment times the daily hours worked.

As of June 30, 2021, the District had obligations to 30 participants with a total liability of $456,089. Actual early retirement expenditures for the year ended June 30, 2021 totaled $453,107. Early retirement is recorded as a long-term liability of the Governmental Activities in the District-wide financial statements. Early retirement obligations are generally liquidated by the Management Fund.

Note 6. Other Postemployment Benefits (OPEB)

Plan description: The District's defined benefit OPEB plan, Pleasant Valley Community School District Postemployment Plan Other Than Pensions (the Plan), provides postemployment benefits for eligible participants enrolled in its plans. The Plan is a single employer defined benefit OPEB plan administered by the District. Under Chapter 509A.13 of the Code of Iowa, "Group Insurance for Public Employees," If a governing body has procured insurance for its employees, the governing body shall allow its employees who retired before the age of sixty-five years of age to continue participation in the group plan at the employee's own expense until the employee attains sixty-five years of age. No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75.

Benefits provided: The Plan provides healthcare benefits including medical and prescription drug benefits for retirees and their dependents. Retiree health care coverage is available to pre-age 65 eligible retirees. All employees are required to contribute the full premium in order to continue coverage at retirement.

The full monthly premium rates as of July 1, 2020 for each plan are as shown below:

Rate Tier	Traditional
Single	$ 602
Family	1,318

Employees covered by benefit terms: At June 30, 2021, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	12
Inactive employees entitled to but not yet receiving benefit payments	-
Active employees	406
	418

Note 6. Other Postemployment Benefits (OPEB) (Continued)

Total OPEB Liability: The District's total OPEB liability of $5,302,588 was measured as of June 30, 2021 and was determined by a roll forward actuarial valuation as of June 30, 2021.

Actuarial assumptions and other inputs: The total OPEB liability in the June 30, 2021 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement unless otherwise specified.

Inflation	2.50% per annum
Salary increases	4.00% per annum
Discount rate	2.18% per annum
Retirees' share of benefit-related costs	100%
Health care cost trend rate	5.00% reduced 0.50% per annum until reaching ultimate health care cost trend rate - 4.50%

The discount rate was based on the Bond Buyer 20-Bond GO index. Mortality rates were based on the RP-2014 combined annuitant mortality table for males and females. The actuarial assumptions used in the June 30, 2021 valuation were based on the results of an actuarial experience study for the period 2010– 2020.

Changes in the Total OPEB Liability

	Increase (Decrease)		
	Total OPEB Liability (a)	Plan Fiduciary Net Position (b)	Net OPEB Liability (a) - (b)
Balance at July 1, 2020	$ 4,657,520	$ -	$ 4,657,520
Changes for the year:			
Service cost	419,695	-	419,695
Interest	122,329	-	122,329
Changes of benefit terms	-	-	-
Differences between expected and actual experience	-	-	-
Changes in assumptions or other inputs	220,448	-	220,448
Benefit payments	(117,404)	-	(117,404)
Net changes	645,068	-	645,068
Balance at June 30, 2021	$ 5,302,588	$ -	$ 5,302,588

Changes of assumptions or other inputs reflect a change in the discount rate from 2.66% per annum in 2020 to 2.18% per annum in 2021.

Note 6. Other Postemployment Benefits (OPEB) (Continued)

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower or 1 percentage point higher than the current discount rate:

	1% Decrease	Discount Rate	1% Increase
	1.18%	2.18%	3.18%
Total OPEB liability	$ 5,766,818	$ 5,302,588	$ 4,872,375

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents that total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1 percentage point lower or 1-percentage point higher than the current healthcare cost trend rates.

	1% Decrease	Healthcare Cost Trend Rates	1% Increase
	4.0%	5.0%	6.0%
Total OPEB liability	$ 4,642,855	$ 5,302,588	$ 6,092,282

For the year ended June 30, 2021, the District recognized OPEB expense of $742,528. At June 30, 2021, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 976,515	$ -
Changes of assumptions or other inputs	1,052,060	331,287
Net difference between projected and actual investments	-	-
Total	$ 2,028,575	$ 331,287

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended June 30:	
2022	$ 200,504
2023	200,504
2024	200,504
2025	200,504
2026	200,504
Thereafter	694,768
	$ 1,697,288

Note 7. Transportation Contract

The District entered into a transportation contract/equipment lease for busing equipment and services required for the busing of all District students. The terms call for the leasing of buses for various routes. All services are provided by the lessor. The lease runs for one-year increments. For the year ended June 30, 2021, the equipment portion of the lease called for monthly payments of $1,600 per bus for up to 45 buses ($864,000 maximum). The lease payments for the year ended June 30, 2021 totaled $832,172.

Note 8. Pension and Retirement Benefits

Plan Description – IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension Benefits – A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25 percent for each month that the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50 percent for each month the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits – A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions – Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. Statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate

Note 8. Pension and Retirement Benefits (Continued)

Funding Policy requires that the actuarial contribution rate be determined using the “entry age normal” actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2021, pursuant to the required rate, Regular members contributed 6.29 percent of covered payroll and the District contributed 9.44 percent of covered payroll for a total rate of 15.73 percent.

The District’s contributions to IPERS for the year ended June 30, 2021 were $3,125,396.

Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions – At June 30, 2021, the District reported a liability of $28,182,108 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2020, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District’s proportion of the net pension liability was based on the District’s share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2020, the District’s proportion was .401184 percent, which was a decrease of .0004247 percent from its proportion measured as of June 30, 2019.

For the year ended June 30, 2021, the District recognized pension expense of $4,745,440. At June 30, 2021, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 31,133	$ 667,988
Changes of assumptions	1,446,578	-
Net difference between projected and actual earnings on pension plan investments	1,584,283	-
Changes in proportion and differences between District contributions and proportionate share of contributions	723,218	-
District contributions subsequent to the measurement date	3,125,396	-
Total	$ 6,910,608	$ 667,988

Note 8. Pension and Retirement Benefits (Continued)

Deferred outflows of resources of $3,125,396 related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2021. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	
2022	$ 706,885
2023	800,538
2024	656,287
2025	955,382
2026	(1,868)
Thereafter	-
Total	$ 3,117,224

There were no non-employer contributing entities to IPERS.

Actuarial Assumptions – The total pension liability in the June 30, 2020 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of Inflation (effective June 30, 2017)	2.60 percent per annum
Salary Increases (effective June 30, 2017)	3.25 percent to 16.25 percent average, including inflaction. Rates vary by membership group.
Investment rate of return (effective June 30, 2017)	7.00 percent per annum, compounded annually, net of pension plan, investment expense, including inflation
Wage growth (effective June 30, 2017)	3.25 percent per annum, based on 2.60 percent inflation and 0.65 percent real wage inflation

The actuarial assumptions used in the June 30, 2020 valuation were based on the results of an economic assumption study dated March 24, 2017 and a demographic assumption study dated June 28, 2018. Mortality rates used in the 2020 valuation were based on the RP-2014 Employee and Healthy Annuitant Tables with MP-2017 generational adjustments.

Note 8. Pension and Retirement Benefits (Continued)

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and bet estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	22.0%	4.43%
International equity	17.5%	5.15%
Global smart beta equity	6.0%	4.87%
Core-plus fixed income	28.0%	-0.29%
Public credit	4.0%	2.29%
Cash	1.0%	-0.78%
Private equity	11.0%	6.54%
Private real assets	7.5%	4.48%
Private credit	3.0%	3.11%
Total	100%	

Discount Rate – The discount rate used to measure the total pension liability was 7.00 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate – The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00 percent) or 1-percentage-point higher (8.00 percent) than the current rate.

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability	$ 46,991,287	$ 28,182,108	$ 12,410,899

Note 8. Pension and Retirement Benefits (Continued)

Pension Plan Fiduciary Net Position – Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Payables to the Pension Plan – At June 30, 2021, the District reported payables to the defined benefit pension plan of $0 for legally required employer contributions and $0 for legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Note 9. Risk Management

In April 2017, the District transitioned from the fully self-funded health insurance to a partially self-insured plan. The new plan provides for a high deductible plan. The District funds claims between the former deductible ($1,500 family and $750 single) and former maximum out of pocket ($4,500 family and $2,250 single) to the new deductible ($10,000 family and $5,000 single) and new maximum out of pocket ($14,000 family and $7,000 single).

Payments are made to the plan based on actuarial estimates of amounts needed to pay prior and current year claims and to establish a reserve for incurred but unpaid claims. Changes in the claims liability amounts for the years ended June 30, 2021 and 2020 were as follows:

Self-Insurance Liability	Beginning	Claims and Changes in Estimates	Claim Payments	Ending
2020	$ 184,542	$ 889,766	$ 934,181	$ 140,127
2021	140,127	914,664	917,210	137,581

Claims liability is classified as current as claims are typically paid within 2 ½ months of incurred date.

Pleasant Valley Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

Note 10. Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the area education agency. The District's actual amount for this purpose totaled $2,375,720 for the year ended June 30, 2021 and is recorded in the General Fund.

Note 11. Categorical Funding

The District's fund balance restricted for categorical funding as of June 30, 2021 is comprised of the following programs:

Program		Amount
Home school assistance	$	78,946
ELP/TAG		136,353
Teacher leadership		351,102
4 year old preschool		59,354
Successful progression for early readers		96,699
Professional development		164,065
Other		9,466
Total	$	895,985

Note 12. Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments. Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2021 under tax abatement agreements of other entities:

Entity	Tax Abatement Program		Amount of Tax Diverted
City of LeClaire, Iowa	Urban renewal and economic development projects	$	468,100
City of Bettendorf, Iowa	Urban renewal and economic development projects		300,442

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times $5.40 per $1,000 of taxable valuation. For the year ended June 30, 2021, this reimbursement amounted to $315,202.

Note 13. Commitments

The District has entered into a contract totaling $17,471,890 for elementary school construction. As of June 30, 2021, costs of $17,392,513 had been incurred against the contracts. The balance of $79,377 remaining as of June 30, 2021 will be paid as work on the projects progress.

Note 14. Governmental Accounting Standards Board (GASB)

The District adopted the following statements during the year ended June 30, 2021:

GASB Statement No. 84, *Fiduciary Activities*: The objective of this Statement is to improve guidance regarding the identification of fiduciary activities for accounting and financial reporting purposes and how those activities should be reported. The focus of the identification criteria established by the Statement is on 1) whether a government is controlling the assets of the fiduciary activity and 2) the beneficiaries with whom a fiduciary relationship exists. Separate criteria are included to identify fiduciary component units and postemployment benefit arrangements that are fiduciary activities. An activity meeting the criteria should be reported as a fiduciary fund in the basic financial statements. This Statement also provides for recognition of a liability to the beneficiaries in a fiduciary fund when an event has occurred that compels the government to disburse fiduciary resources.

GASB Statement No. 90, *Majority Equity Interest-An Amendment of GASB Statement No. 14 and No. 61*: The primary objectives of this Statement are to improve consistency and comparability of reporting a government's majority equity interest in a legally separate organization and to improve the relevance of financial statement information for certain component units. It defines a majority equity interest and specifies the reporting of a majority equity interest. This Statement also requires that a component unit in which a government has a 100 percent equity interest account for its assets, deferred outflows of resources, liabilities and deferred inflows of resources at acquisition value at the date the government acquired the 100 percent equity interest in the component unit.

GASB Statement No. 98, *The Annual Comprehensive Financial Report*. This Statement establishes the term *annual comprehensive financial report* and its acronym *ACFR*. This new term and acronym replace instances of *comprehensive annual financial* report and its acronym in generally accepted accounting principles for state and local governments. This Statement was development in response to concerns raised by stakeholders that the common pronunciation of the acronym for comprehensive annual financial report sounds like a profoundly objectional racial slur. This Statement's introduction of the new term is founded on a commitment to promoting inclusiveness.

The implementation of the above statements did not have a material impact on the District's Financial Statements.

As of June 30, 2021, GASB had issued several statements not yet required to be implemented by the District. The Statements which might impact the District are as follows:

GASB Statement No. 87, *Leases*, issued June 2017, will be effective for the District beginning with its fiscal year ending June 30, 2022. The objective of this Statement is to better meet the information needs of financial statement users by improving accounting and financial reporting for leases by governments. This Statement increases the usefulness of governments' financial statements by requiring recognition of certain lease assets and liabilities for leases that previously were classified as operating leases and recognized as inflows of resources or outflows of resources based on the payment provisions of the contract. It establishes a single model for lease accounting based on the foundational principle that leases are financings of the right to use an underlying asset. Under this Statement, a lessee is required to recognize a lease liability and an intangible right-to-use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources, thereby enhancing the relevance and consistency of information about governments' leasing activities.

Note 14. Governmental Accounting Standards Board (GASB) (Continued)

GASB Statement No. 89, *Accounting for Interest Cost before the End of a Construction Period,* issued June 2018, will be effective for the District beginning with its fiscal year ending June 30, 2022. This Statement establishes accounting requirements for interest cost incurred before the end of a construction period. Such interest cost includes all interest that was previously accounted for in accordance with the requirements of paragraphs 5-22 of Statement No. 62, which are superseded by this Statement. This Statement requires that interest cost incurred before the end of a construction period be recognized as an expense in the period in which the cost is incurred for financial statements prepared using the economic resources measurement focus. As a result, interest cost incurred before the end of a construction period will not be included in the historical cost of a capital asset reported in a business-type activity or an enterprise fund. This statement also reiterates that in financial statements prepared using the current financial resources measurement focus, interest cost incurred before the end of a construction period should be recognized as an expenditure on a basis consistent with governmental fund accounting principles.

GASB Statement No. 91, *Conduit Debt Obligations*, issued May 2020, will be effective for the District beginning with its fiscal year ending June 30, 2023. This Statement clarifies the existing definition of a conduit debt obligation; establishing that a conduit debt obligation is not a liability of the issuer; establishing standards for accounting and financial reporting of additional commitments and voluntary commitments extended by issuers and arrangements association with conduit debt obligations; and improving required note disclosures. This Statement requires issuers to disclose general information about their conduit debt obligations organized by type of commitment, including the aggregate outstanding principal amount of the issuers' conduit debt obligations and a description of each type of commitment. Issuers that recognize liabilities related to supporting the debt service of conduit debt obligations also should disclose information about the amount recognized and how the liabilities changed during the reporting period.

GASB Statement No. 92, *Omnibus 2020*, issued January 2020, will be effective for the District beginning with its fiscal year ending June 30, 2022 except for the requirements related to the effective date of Statement No. 87 and Implementation Guide 2020-3, reinsurance recoveries, and terminology used to refer to derivative instruments are effective upon issuance. The objectives of this Statement are to enhance comparability in accounting and financial reporting and to improve the consistency of authoritative literature by addressing practice issues that have been identified during implementation and application of certain GASB Statements. This Statement addresses a variety of topics including leases, intra-entity transfers, assets accumulated for postemployment benefits, applicability of Statement No. 84 to postemployment benefit arrangements, measurement of liabilities related to asset retirement obligations in a government acquisition, reporting by public entity risk pools for amounts that are recoverable from reinsurers or excess insurers, nonrecurring fair value measurements of assets or liabilities, and terminology to refer to derivative instruments.

GASB Statement No. 93, *Replacement of Interbank Offered Rates*, issued March 2020, will be effective for the District beginning with its fiscal year ending June 30, 2022. The objective of this Statement is to address those and other accounting and financial reporting implications that result from the replacement of an IBOR. This statement provides exceptions for certain hedging derivative instruments to the hedge accounting termination provisions when an IBOR is replaced as the reference rate of the hedging derivative instrument's variably payment, clarifies the hedge accounting termination provisions when a hedge item is amended to replace the reference rate, clarifies the uncertainty related to the continued availability of IBORS, removes LIBOR as an appropriate benchmark interest rate for qualitative evaluation, identifies a Secured Overnight Financing Rate and the Effective Federal Funds Rate as appropriate benchmark interest rates for the qualitative evaluation of the effectiveness of an interest rate swap, and clarifies the definition of reference rate, as it is used in Statement 53, as amended.

Note 14. Governmental Accounting Standards Board (GASB) (Continued)

GASB Statement No. 94, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements,* issued March 2020, will be effective for the District beginning with its fiscal year ending June 30, 2023. The primary objective of this Statement is to improve financial reporting by addressing issues related to public-private and public-public partnership arrangements (PPPs). As used in this Statement, a PPP is an arrangement in which a government (the transferor) contracts with an operator (a governmental or nongovernmental entity) to provide public services by conveying control of the right to operate or use a nonfinancial asset, such as infrastructure or other capital asset (the underlying PPP asset), for a period of time in an exchange or exchange-like transaction. This Statement also provides guidance for accounting and financial reporting for availability payment arrangements (APAs). As defined in this Statement, an APA is an arrangement in which a government compensates an operator for services that may include designing, constructing, financing, maintaining, or operating an underlying nonfinancial asset for a period of time in an exchange or exchange-like transaction.

GASB Statement No. 96, *Subscription-Based Information Technology Arrangements,* issued May 2020, will be effective for the District beginning will its fiscal year ending June 30, 2023. This Statement provides guidance on the accounting and financial reporting for subscription-based information technology arrangements (SBITAs) for government end users (governments). This Statement 1) defines a SBITA; 2) establishes that a SBITA results in a right-to-use subscription assets- an intangible asset- and a corresponding subscription liability; 3) provides the capitalization criteria for outlays other than subscription payments, including implementation costs of a SBITA; and 4) requires note disclosures regarding a SBITA.

GASB Statement No. 97, *Certain Component Unit Criteria, and Accounting and Financial Reporting for Internal Revenue Code Section 457 Deferred Compensation Plans- an amendment of GASB Statements No. 14 and No. 84, and a supersession of GASB Statement No. 32,* issued June 2020, will be effective for the District beginning with its fiscal year ending June 30, 2022. The primary objective of this Statement are to 1) increase consistency and comparability related to the reporting of fiduciary component units in circumstances in which a potential component unit does not have a governing board and the primary government performs the duties that a governing board typically would perform; 2) mitigate costs associated with the reporting of certain defined contribution pension plans, defined contribution other postemployment benefit (OPEB) plans, and employee benefit plans other than pension plans or OPEB plans (other employee benefit plans) as fiduciary component units in fiduciary fund financial statements; and 3) enhance the relevance, consistency, and comparability of the accounting and financial reporting for Internal Revenue Code (IRC) Section 457 deferred compensation plans (Section 457 plans) that meet the definition of a pension plan and for benefits provided through those plans.

The District's management has not yet determined the effect these Statements will have on the District's financial statements.

Note 15. Subsequent Event

The COVID-19 outbreak is disrupting business across a range of industries in the United States and financial markets have experienced a significant decline. As a result, local, regional and national economies, including that of the District, may be adversely impacted. The extent of the financial impact of COVID-19 will depend on future developments, including the duration and spread, which are uncertain and cannot be predicted. Due to the uncertainties surrounding the outbreak, management cannot presently estimate the potential impact on the District's operations and finances.

Required Supplementary Information

Pleasant Valley Community School District

Required Supplementary Information
Budgetary Comparison Schedule of Revenues, Expenditures/Expenses and Changes in Balances - Budget and Actual - All Governmental Funds and Enterprise Fund
Year Ended June 30, 2021

	Governmental Funds - Actual	Enterprise Fund - Actual
Revenues:		
Local sources	$ 29,308,695	$ 730,253
State sources	38,338,745	12,090
Federal sources	1,991,226	1,796,540
Total revenues	69,638,666	2,538,883
Expenditures/expenses:		
Instruction	39,113,467	-
Support services	16,763,756	-
Noninstructional programs	23,195	1,962,243
Other expenditures	18,662,716	-
Total expenditures/expenses	74,563,134	1,962,243
Excess (deficiency) of revenues over (under) expenditures/expenses	(4,924,468)	576,640
Other financing sources (uses):		
Interfund transfers in	6,670,799	-
Interfund transfers out	(6,457,018)	(213,781)
Proceeds from sale of capital assets	5,975	-
Total other financing sources (uses)	219,756	(213,781)
Net change in fund balance	(4,704,712)	362,859
Balance, beginning of year	31,858,149	1,578,617
Balance, end of year	$ 27,153,437	$ 1,941,476

See Notes to Required Supplementary Information.

Total Actual	Budgeted Amounts Original	Final	Final to Actual Variance
$ 30,038,948	$ 31,439,875	$ 31,439,875	$ (1,400,927)
38,350,835	38,740,667	38,740,667	(389,832)
3,787,766	1,655,607	1,655,607	2,132,159
72,177,549	71,836,149	71,836,149	341,400
39,113,467	40,091,336	48,085,385	8,971,918
16,763,756	17,848,534	21,169,797	4,406,041
1,985,438	2,386,244	3,004,457	1,019,019
18,662,716	20,347,371	31,388,776	12,726,060
76,525,377	80,673,485	103,648,415	27,123,038
(4,347,828)	(8,837,336)	(31,812,266)	(27,464,438)
6,670,799	10,840,300	10,840,300	(4,169,501)
(6,670,799)	(10,742,427)	(10,742,427)	4,071,628
5,975	-	-	5,975
5,975	97,873	97,873	(91,898)
(4,341,853)	$ (8,739,463)	$ (31,714,393)	$ (27,372,540)
33,436,766			
$ 29,094,913			

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Pleasant Valley Community School District

Required Supplementary Information
Schedule of Changes in the District's Total OPEB
Liability and Related Ratios
Last Four Fiscal Years

	2021	2020	2019	2018
Total OPEB liability				
Changes for the year:				
Service cost	$ 419,695	$ 358,497	$ 200,905	$ 193,420
Interest	122,329	85,188	90,870	84,561
Changes of benefit terms		-	-	-
Differences between expected and actual experience	-	1,211,052	-	-
Changes in assumptions or other inputs	220,448	618,617	83,558	(59,537)
Benefit payments	(117,404)	(99,536)	(77,578)	(48,099)
Net changes in total OPEB liability	645,068	2,173,818	297,755	170,345
Total OPEB liability - beginning	4,657,520	2,483,702	2,185,947	2,015,602
Total OPEB liability - ending	$ 5,302,588	$ 4,657,520	$ 2,483,702	$ 2,185,947
Covered payroll	$ 25,448,998	$ 25,448,998	$ 25,413,000	$ 24,435,885
Total OPEB liability as a percentage of covered payroll	20.8%	18.3%	10.0%	9.0%

Notes to Schedule:

Changes of benefit terms:

There were no changes as a result of changes in benefit terms or differences between expected and actual experience.

Changes of assumption:

	2021	2020	2019	2018
Changes of assumptions or other inputs reflect a change in the discount rate. The following are the discount rates used in each period:	2.18%	2.66%	3.50%	3.87%

No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75

Note: The schedule is intended to present information for ten years.
Information prior to 2018 is not available.

See Notes to Required Supplementary Information.

Pleasant Valley Community School District

Required Supplementary Information
Schedule of the District's Proportionate Share of the Net Pension Liability
Iowa Public Employees' Retirement System
Last Seven Fiscal Years

	2021*	2020*	2019*
District's proportion of the net pension liability	0.401184%	0.405431%	0.396414%
District's proportionate share of the net pension liability	$ 28,182,108	$ 23,477,096	$ 25,086,036
District's covered payroll	$ 31,851,031	$ 30,870,918	$ 29,800,064
District's proportionate share of the net pension liability as a percentage of its covered payroll	88.48%	76.05%	84.18%
Plan fiduciary net pension as a percentage of the total pension liability	82.90%	85.45%	83.62%

*The amounts presented for each fiscal year were determined as of the prior fiscal year-end.

Note: The schedule is intended to present information for ten years. Information prior to 2015 is not available.

See Notes to Required Supplementary Information.

2018*	2017*	2016*	2015*
0.380032%	0.374103%	0.366061%	0.365605%
$ 25,314,966	$ 23,543,466	$ 18,085,204	$ 14,499,546
$ 28,377,079	$ 26,851,672	$ 25,093,051	$ 23,941,880
89.21%	87.68%	72.07%	60.56%
82.21%	81.82%	85.19%	87.61%

Pleasant Valley Community School District

Required Supplementary Information
Schedule of District Contributions (in Thousands)
Iowa Public Employees' Retirement System
Last Ten Fiscal Years

	2021	2020	2019	2018
Statutorily required contribution	$ 3,125	$ 3,007	$ 2,913	$ 2,661
Contributions in relation to the statutorily required contribution	$ (3,125)	$ (3,007)	$ (2,913)	$ (2,661)
Contribution deficiency (excess)	$ -	$ -	$ -	$ -
District's covered payroll	$ 33,114	$ 31,851	$ 30,871	$ 29,800
Contributions as a percentage of employee payroll	9.44%	9.44%	9.44%	8.93%

See Notes to Required Supplementary Information.

2017		2016		2015		2014		2013		2012	
$	2,534	$	2,398	$	2,241	$	2,138	$	1,913	$	1,681
$	(2,534)	$	(2,398)	$	(2,241)	$	(2,138)	$	(1,913)	$	(1,681)
$	-	$	-	$	-	$	-	$	-	$	-
$	28,377	$	26,852	$	25,093	$	23,942	$	22,065	$	20,831
	8.93%		8.93%		8.93%		8.93%		8.67%		8.07%

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Note 1. Budgets and Budgetary Information

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except internal service, private-purpose trust and agency funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on the GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes or expenditures known as functions, not by fund or fund type. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District adopted one budget amendment increasing budgeted expenditures by $22,974,930.

During the year ended June 30, 2021, expenditures did not exceed the amounts budgeted.

Note 2. Iowa Public Employees' Retirement System Pension Liability

Changes of benefit terms:

There are no significant changes in benefit terms.

Changes of assumptions:

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

Note 2. Iowa Public Employees' Retirement System Pension Liability (Continued)

The 2014 valuation implemented the following refinements as a result of quadrennial experience study:

- Decreased the inflation assumption from 3.25 percent to 3.00 percent.
- Decreased the assumed rate of interest on member accounts from 4.00 percent to 3.75 percent per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Reduced retirement rates for sheriffs and deputies between the ages of 55 and 64.
- Moved from an open 30-year amortization period to a closed 30 year amortization period for the UAL beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20-year period.

Other Supplementary Information

Pleasant Valley Community School District

Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2021

	Special Revenue			
	Management Levy	Student Activity	Debt Service	Total
Assets				
Cash and pooled investments	$ 2,194,749	$ 915,593	$ 289,304	$ 3,399,646
Receivables:				
Property tax:				
Current year	3,113	-	-	3,113
Succeeding year	720,000	-	-	720,000
Accounts	4,612	14,913	-	19,525
Prepaid items	-	1,126	-	1,126
Total assets	$ 2,922,474	$ 931,632	$ 289,304	$ 4,143,410
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	$ 6,831	$ 38,411	$ -	$ 45,242
Unearned revenue	-	111,700	-	111,700
Total liabilities	6,831	150,111	-	156,942
Deferred inflows of resources, Unavailable revenue-succeeding year property tax	720,000	-	-	720,000
Fund balances:				
Nonspendable	-	1,126	-	1,126
Restricted	2,195,643	780,395	289,304	3,265,342
Total fund balances	2,195,643	781,521	289,304	3,266,468
Total liabilities, deferred inflows of resources and fund balances	$ 2,922,474	$ 931,632	$ 289,304	$ 4,143,410

Pleasant Valley Community School District

Combining Statement of Revenues, Expenditures and Changes in Fund Balances
Nonmajor Governmental Funds
Year Ended June 30, 2021

	Special Revenue			
	Management Levy	Student Activity	Debt Service	Total
Revenues:				
Local sources:				
Local tax	$ 759,226	$ -	$ -	$ 759,226
Other	21,897	693,626	8,372	723,895
State sources	8,244	-	-	8,244
Total revenues	789,367	693,626	8,372	1,491,365
Expenditures:				
Current:				
Instruction	297,653	617,953	-	915,606
Support services:				
Student services	21,785	-	-	21,785
Instructional staff services	52,200	-	-	52,200
Administration services	128,893	7,118	-	136,011
Operation and maintenance of plant services	322,150	55,856	-	378,006
Transportation services	17,795	-	-	17,795
Noninstructional programs	22,591	-	-	22,591
Debt Service:				
Principal	-	-	5,266,348	5,266,348
Interest	-	-	1,260,903	1,260,903
Total expenditures	863,067	680,927	6,527,251	8,071,245
Excess (deficiency) of revenues over (under) expenditures	(73,700)	12,699	(6,518,879)	(6,579,880)
Other financing sources:				
Transfers in	-	22,273	6,434,745	6,457,018
Total other financing sources	-	22,273	6,434,745	6,457,018
Net change in fund balances	(73,700)	34,972	(84,134)	(122,862)
Fund balances, beginning of year	2,269,343	746,549	373,438	3,389,330
Fund balances, end of year	$ 2,195,643	$ 781,521	$ 289,304	$ 3,266,468

Pleasant Valley Community School District

Schedule of Combining Balance Sheet
Capital Project Fund - By Account
June 30, 2021

	Capital Projects Accounts		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Assets			
Cash and pooled investments	$ 12,730,755	$ 377,006	$ 13,107,761
Receivables:			
Property tax:			
Current year	-	13,010	13,010
Succeeding year	-	3,060,000	3,060,000
Accounts	-	3,353	3,353
Due from other governments	1,165,244	-	1,165,244
Total assets	$ 13,895,999	$ 3,453,369	$ 17,349,368
Liabilities, Deferred Inflows of Resources, and Fund Balances			
Liabilities:			
Accounts payable	$ 945,352	$ 57,927	$ 1,003,279
Total liabilities	945,352	57,927	1,003,279
Deferred Inflows of Resources:			
Unavailable revenue-succeeding year property tax	-	3,060,000	3,060,000
Unavailable revenue-statewide sales and services tax	736,636	-	736,636
Total deferred inflows of resources	736,636	3,060,000	3,796,636
Fund Balances:			
Restricted for:			
Physical plant and equipment	-	335,442	335,442
School infrastructure	12,214,011	-	12,214,011
Total fund balances	12,214,011	335,442	12,549,453
Total liabilities and fund balances	$ 13,895,999	$ 3,453,369	$ 17,349,368

Pleasant Valley Community School District

Schedule of Combining Statement of Revenues, Expenditures and Changes in Fund Balances
Capital Project Fund - By Account
Year Ended June 30, 2021

	Capital Projects Accounts		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Revenues:			
Local sources:			
Local tax	$ -	$ 3,236,818	$ 3,236,818
Other	731,945	27,985	759,930
State sources	5,117,291	38,468	5,155,759
Federal sources	-	18,011	18,011
Total revenues	5,849,236	3,321,282	9,170,518
Expenditures:			
Current:			
Instruction	-	367,667	367,667
Support services:			
Administration services	-	71,345	71,345
Operation and maintenance of plant services	-	140,139	140,139
Transportation services	-	190,000	190,000
Other expenditures, facilities acquisition	8,341,785	1,415,860	9,757,645
Debt service, fees	2,100	-	2,100
Total expenditures	8,343,885	2,185,011	10,528,896
Excess (deficiency) of revenues over (under) expenditures	(2,494,649)	1,136,271	(1,358,378)
Other financing sources (uses):			
Transfers in	97,931	1,465,000	1,562,931
Transfers out	(5,632,903)	(2,266,842)	(7,899,745)
Total other financing sources (uses)	(5,534,972)	(801,842)	(6,336,814)
Net change in fund balance	(8,029,621)	334,429	(7,695,192)
Fund balance, beginning of year	20,243,632	1,013	20,244,645
Fund balance, end of year	$ 12,214,011	$ 335,442	$ 12,549,453

Pleasant Valley Community School District

Schedule of Changes in Special Revenue Fund, Student Activity Accounts
Year Ended June 30, 2021

Account	Balance Beginning of Year	Revenues	Expenditures	Balance End of Year
Elementary and Junior High Activities:				
P.V.J.H. Athletics	$ 945	$ 535	$ 1,515	$ (35)
P.V.J.H. Band	2,734	133	345	2,522
P.V.J.H. Vocal Music	606	432	339	699
P.V.J.H. Bookstore	181	288	1,287	(818)
P.V.J.H. Drama	10,208	2,401	1,178	11,431
P.V.J.H. Chorus	168	75	-	243
P.V.J.H. General Activities	6,035	627	2,126	4,536
P.V.J.H. PTA	-	1,194	2,345	(1,151)
P.V.J.H. Home Economics	1,712	-	-	1,712
P.V.J.H. Quest Program	327	-	-	327
P.V.J.H. Science	14	-	-	14
P.V.J.H. Special Olympics	197	-	-	197
P.V.J.H. Student Council	1,803	1,207	891	2,119
P.V.J.H. Weightlifting Club	6	-	-	6
P.V.J.H. Orchestra	-	-	73	(73)
P.V.J.H. Yearbook	15,459	16,271	16,924	14,806
Bridgeview Bookstore	-	-	625	(625)
Bridgeview General Activities	16,552	1,085	1,367	16,270
Bridgeview PTA Donations	11	1,273	1,273	11
Bridgeview Yearbook	212	1,700	1,529	383
Bridgeview Student Activity	9	-	-	9
Bridgeview Vocal Music	466	200	-	666
Bridgeview Robotics	50	50	-	100
Cody Band	3	-	-	3
Cody Book Club	1,204	390	-	1,594
Cody Bookstore	295	-	-	295
Cody Candy Sales	782	-	-	782
Cody General Activities	11,099	1,436	2,708	9,827
Cody Jump for Heart	2	-	-	2
Cody Robotics	60	-	-	60
Cody Student Fund	429	-	-	429
Cody Vocal Music	490	200	-	690
Cody Yearbook	5,234	2,139	1,849	5,524
Cody Student Council	65	-	-	65
Cody PTA Donations	1,938	8,605	8,605	1,938
Hopewell General Activities	13,709	5,657	6,365	13,001
Hopewell PTA	17	1,163	1,163	17
Hopewell Book Club	7,435	3,116	900	9,651
Hopewell Vocal Music	1	200	200	1
Hopewell Yearbook	8,614	13,402	6,962	15,054
Pleasant View General Activities	12,761	6,638	7,953	11,446
Pleasant View PTA	2,450	8,984	13,507	(2,073)
Pleasant View Vocal Music	108	-	-	108
Pleasant View Book Club	1,140	2,134	1,520	1,754
Pleasant View Yearbook	2,640	2,893	253	5,280
Pleasant View Robotics	1,737	2,490	753	3,474

(Continued)

Pleasant Valley Community School District

Schedule of Changes in Special Revenue Fund, Student Activity Accounts (Continued)
Year Ended June 30, 2021

Account	Balance Beginning of Year	Revenues	Expenditures	Balance End of Year
Elementary and Junior High Activities:				
Riverdale Book Club	$ 1,812	$ 641	$ 1,826	$ 627
Riverdale Bookstore	218	-	-	218
Riverdale Jump for Heart	42	-	-	42
Riverdale General Activities	19,001	1,929	2,332	18,598
Riverdale PTA	2,143	11,767	1,100	12,810
Riverdale Student Council	1,652	-	1,388	264
Riverdale Science	843	-	-	843
Riverdale Band	500	-	-	500
Riverdale Robotics	730	-	-	730
Riverdale Vocal Music	35	-	-	35
Riverdale Yearbook	10,888	4,858	8,547	7,199
District-Wide Garage Sale	1,234	-	-	1,234
District-Wide Wellness	219	-	-	219
District-Wide STEM Night	556	-	-	556
Interest	55,339	827	286	55,880
6th Grade Choir	2,570	-	-	2,570
FG General Activities	-	250	-	250
Elementary and JH First Lego League	-	1,029	29	1,000
High School Activities:				
General Administrative	2,385	2,463	601	4,247
Clubs and Organizations	131,684	234,989	211,777	154,896
Drama	30,800	38,087	58,340	10,547
Therapy Dog	526	-	-	526
High School Athletics	131,618	-	1,835	129,783
Sparkles	45	400	364	81
Music Clubs	30,084	29,307	31,429	27,962
FCCLA	1,015	-	-	1,015
Croquet/Gentlemen's Club	236	-	-	236
PV Pals	925	-	-	925
PV Shining Stars	54	-	18	36
PVMCSA	145	-	-	145
Multi-occupations	72	-	-	72
First Robotics Club	626	1,443	1,108	961
Valenian	25,014	79,768	73,966	30,816
Athletic Support Groups	113,703	305,350	271,104	147,949
Interest	46,124	4,919	7,677	43,366
Nonspendable Prepaid Items	3,803	-	2,677	1,126
Intrafund Transfers	-	64,063	64,063	-
Total	$ 746,549	$ 715,899	$ 680,927	$ 781,521

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Statistical Section

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Pleasant Valley Community School District

Statistical Section
Contents

The statistical section of the District's comprehensive annual financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the District's overall financial health.

Pleasant Valley Community School District

Net Position by Component
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2012	2013	2014*	2015
Governmental activities:				
Net investment in capital assets	$ 39,438,488	$ 42,382,057	$ 44,512,322	$ 47,577,526
Restricted	2,059,359	2,240,011	2,972,549	3,299,023
Unrestricted	3,477,612	3,488,313	(13,208,319)	(11,059,471)
Business-type activities				
Net investment in capital assets	823,880	738,225	664,469	583,135
Restricted	18,333	5,264	11,156	10,843
Unrestricted	287,018	251,117	(51,931)	106,827
Total primary government net position	$ 46,104,690	$ 49,104,987	$ 34,900,246	$ 40,517,883

* Implemented GASB Statement No. 68
Source: District financial records

	Fiscal Year				
2016	2017	2018	2019	2020	2021
$ 46,357,427	$ 48,923,365	$ 53,863,845	$ 54,688,945	$ 57,616,352	$ 61,834,605
7,618,033	8,779,479	6,824,623	9,377,347	9,546,788	9,520,185
(9,745,457)	(9,497,092)	(11,162,552)	(12,357,024)	(13,090,297)	(12,120,596)
523,807	446,365	541,660	517,626	519,029	740,141
7,646	5,189	17,737	26,299	41,295	32,205
430,982	842,399	1,012,013	1,240,620	1,018,293	1,169,130
$ 45,192,438	$ 49,499,705	$ 51,097,326	$ 53,493,813	$ 55,651,460	$ 61,175,670

Pleasant Valley Community School District

Expenses, Program Revenues and Net (Expense) Revenue
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2012	2013	2014	2015
Expenses:				
Governmental activities:				
Regular instruction	$ 18,857,785	$ 21,218,305	$ 23,050,148	$ 23,184,329
Special instruction	3,375,620	3,234,334	3,468,985	3,526,775
Other instruction	3,375,699	3,689,360	4,306,623	4,584,831
Student services	1,141,984	1,351,144	1,612,251	1,653,333
Instructional staff services	1,704,451	1,516,098	1,747,264	1,837,349
Administration services	3,670,053	3,898,423	4,278,116	3,492,635
Operation and maintenance of plant services	2,495,867	3,179,559	3,986,499	3,811,382
Transportation services	1,362,563	1,285,740	1,346,380	1,368,313
Noninstructional	24,476	17,808	18,959	20,941
Interest on long-term debt	-	-	-	-
AEA flowthrough	1,380,061	1,476,199	1,638,338	1,744,881
Depreciation (unallocated)	1,567,684	248,002	-	-
Total governmental activities	38,956,243	41,114,972	45,453,563	45,224,769
Business-type activities:				
Administration Service	30,397	40,932	34,856	56,128
Operation and maintenance of plant services	47,491	45,426	60,236	60,236
Food service operations	1,457,413	1,623,660	1,731,856	1,756,835
Total business-type activities	1,535,301	1,710,018	1,826,948	1,873,199
Total primary government expenses	40,491,544	42,824,990	47,280,511	47,097,968
Program revenues:				
Governmental activities:				
Charges for services:				
Instruction:				
Regular instruction	2,267,346	2,145,168	2,169,067	2,306,499
Special instruction	6,216	7,027	46,159	880
Other instruction	703,029	730,854	902,136	928,278
Support services	20,181	31,620	32,940	28,130
Operating grants and contributions	5,471,355	5,057,477	5,529,965	6,028,330
Capital grants and contributions	-	-	-	-
Total governmental activities	8,468,127	7,972,146	8,680,267	9,292,117
Business-type activities:				
Charges for services:				
Food service operations	1,147,332	1,253,276	1,410,966	1,517,506
Operating grants and contributions	360,182	419,960	489,200	579,884
Capital grants and contributions	249,500	-	-	-
Total business-type activities	1,757,014	1,673,236	1,900,166	2,097,390
Total primary government revenues	10,225,141	9,645,382	10,580,433	11,389,507
Net (expense) revenues:				
Total governmental activities	(30,488,116)	(33,142,826)	(36,773,296)	(35,932,652)
Total business-type activities	221,713	(36,782)	73,218	224,191
Total primary government revenues	$ (30,266,403)	$ (33,179,608)	$ (36,700,078)	$ (35,708,461)

Source: District financial records

Fiscal Year					
2016	2017	2018	2019	2020	2021
$ 25,438,186	$ 26,703,792	$ 29,527,917	$ 29,900,727	$ 30,147,393	$ 32,063,358
3,685,199	3,806,549	4,177,790	4,177,790	5,349,038	6,055,626
4,426,675	4,755,087	5,033,700	5,044,702	5,764,629	5,663,271
1,805,292	1,921,235	2,121,430	2,186,916	2,161,707	1,974,779
3,217,189	3,487,286	3,749,838	3,932,783	4,186,258	4,168,647
3,730,755	4,764,242	5,112,130	5,306,450	5,410,975	5,763,843
3,683,918	3,675,409	4,032,811	4,590,464	3,681,052	3,615,929
1,687,983	1,809,887	1,934,517	1,988,860	1,951,249	1,959,282
42,924	33,911	23,618	21,855	24,256	23,195
206,613	471,868	623,732	1,455,077	1,423,256	1,214,348
1,826,774	1,901,900	2,056,304	2,156,919	2,259,331	2,375,720
-	-	-	-	-	-
49,751,508	53,331,166	58,393,787	60,762,543	62,359,144	64,877,998
44,303	-	-	-	-	-
32,362	-	-	-	-	-
1,809,658	1,937,243	2,079,277	2,118,968	1,957,472	1,964,268
1,886,323	1,937,243	2,079,277	2,118,968	1,957,472	1,964,268
51,637,831	55,268,409	60,473,064	62,881,511	64,316,616	66,842,266
2,383,423	2,470,094	2,553,359	2,165,736	2,202,140	2,689,110
-	-	-	174,032	134,936	-
874,540	924,568	982,706	960,964	725,108	714,982
36,603	35,489	41,725	32,350	29,437	22,376
7,726,677	6,619,414	6,999,341	7,256,134	7,336,281	10,320,304
-	200,000	-	15,054	-	-
11,021,243	10,249,565	10,577,131	10,604,270	10,427,902	13,746,772
1,590,833	1,664,304	1,750,799	1,771,203	1,347,137	428,604
582,902	628,697	629,562	667,986	508,088	1,808,630
-	-	-	-	-	-
2,173,735	2,293,001	2,567,897	2,439,189	1,855,225	2,237,234
13,194,978	12,542,566	13,145,028	13,043,459	12,283,127	15,984,006
(38,730,265)	(43,081,601)	(47,816,656)	(50,158,273)	(51,931,242)	(51,131,226)
287,412	355,758	488,620	320,221	(102,247)	272,966
$ (38,442,853)	$ (42,725,843)	$ (47,328,036)	$ (49,838,052)	$ (52,033,489)	$ (50,858,260)

Pleasant Valley Community School District

General Revenues and Total Change in Net Position
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2012	2013	2014	2015
General revenues and other changes in net position:				
Governmental activities:				
Taxes:				
Property taxes levied for:				
General purposes	$ 14,109,722	$ 14,583,283	$ 15,563,490	$ 16,114,877
Capital projects	1,896,509	2,053,152	2,157,906	2,268,217
Other specific purposes		598,148	629,038	661,553
Statewide sales and services tax	3,192,316	3,443,992	3,680,667	4,080,583
Unrestricted grants	14,533,843	15,257,879	17,312,624	17,785,894
Miscellaneous	274,649	194,892	325,442	344,825
Investment earnings	89,130	46,402	53,815	67,229
Transfers	99,500	100,000	100,000	150,000
Total governmental activities	34,195,669	36,277,748	39,822,982	41,473,178
Business-type activities:				
Investment earnings	3,022	2,157	2,190	2,920
Transfers	(99,500)	(100,000)	(100,000)	(150,000)
Total business-type activities	(96,478)	(97,843)	(97,810)	(147,080)
Total primary government	34,099,191	36,179,905	39,725,172	41,326,098
Change in net position:				
Total governmental activities	1,052,843	(495,548)	3,890,330	2,742,913
Total business-type activities	(133,260)	(24,625)	126,381	140,332
Total primary government	$ 919,583	$ (520,173)	$ 4,016,711	$ 2,883,245

Source: District financial records

Fiscal Year					
2016	2017	2018	2019	2020	2021
$ 16,698,868	$ 17,606,221	$ 18,359,453	$ 19,216,658	$ 19,510,686	$ 21,072,520
2,379,912	2,566,497	2,705,964	2,854,682	3,065,500	3,236,818
690,670	743,239	589,075	634,423	728,431	759,226
4,194,086	4,343,875	4,423,311	5,059,769	5,191,254	5,587,148
18,552,175	21,128,076	22,602,674	23,406,467	24,503,479	24,430,506
509,597	513,969	460,997	548,663	535,476	476,946
87,857	124,520	202,180	489,188	634,970	813,563
30,025	30,953	216,856	131,775	125,021	(84,150)
43,143,190	47,057,350	49,560,510	52,341,625	54,294,817	56,292,577
4,243	6,713	13,441	24,689	21,340	5,743
(30,025)	(30,953)	(216,856)	(131,775)	(125,021)	84,150
(25,782)	(24,240)	(203,415)	(107,086)	(103,681)	89,893
43,117,408	47,033,110	49,357,095	52,234,539	54,191,136	56,382,470
4,412,925	(759,306)	1,743,854	2,183,352	2,363,575	5,161,351
261,630	464,380	285,205	213,135	(205,928)	362,859
$ 4,674,555	$ (294,926)	$ 2,029,059	$ 2,396,487	$ 2,157,647	$ 5,524,210

Pleasant Valley Community School District

Fund Balances, Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2012	2013	2014	2015
General Fund:				
Nonspendable	$ 80,614	$ 67,445	$ 135,876	$ 67,078
Restricted	339,158	343,577	351,165	379,954
Assigned	1,084,957	1,537,285	1,841,702	1,854,244
Unassigned	1,684,542	1,853,782	2,252,617	3,101,609
Total General Fund	3,189,271	3,802,089	4,581,360	5,402,885
All other governmental funds:				
Nonspendable	5,281	2,182	7,470	6,131
Restricted for:				
Capital projects funds	168,015	48,175	497,894	564,012
Debt service	-	-	-	-
Special revenue funds	1,552,186	1,752,553	1,937,684	2,157,946
Unassigned	-	(78,676)	-	-
Total all other governmental funds	1,725,482	1,724,234	2,443,048	2,728,089
Total governmental funds	$ 4,914,753	$ 5,526,323	$ 7,024,408	$ 8,130,974

Source: District financial records

Fiscal Year					
2016	2017	2018	2019	2020	2021
$ 130,038	$ 107,892	$ 142,536	$ 143,272	$ 158,217	$ 358,172
600,523	634,569	662,376	523,933	623,430	895,985
2,040,642	2,146,505	2,313,277	3,148,671	3,133,352	3,162,842
2,957,325	3,550,195	3,470,053	3,238,128	4,309,175	6,920,517
5,728,528	6,439,161	6,588,242	7,054,004	8,224,174	11,337,516
1,112	4,918	5,295	9,884	96,367	1,126
5,651,773	6,752,614	3,268,728	28,524,186	20,244,645	12,549,453
594,338	381,144	22,455	1,059,583	280,874	289,304
2,175,331	2,431,290	2,643,444	2,919,016	3,012,089	2,976,038
-	-	-	-	-	-
8,422,554	9,569,966	5,939,922	32,512,669	23,633,975	15,815,921
$ 14,151,082	$ 16,009,127	$ 12,528,164	$ 39,566,673	$ 31,858,149	$ 27,153,437

Pleasant Valley Community School District

Governmental Funds Revenues
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2012	2013	2014	2015
Local sources:				
Property taxes	$ 15,991,574	$ 17,222,041	$ 18,350,434	$ 19,044,647
Local option sales and services taxes	3,192,316	3,443,992	-	-
Interest income	89,130	46,402	53,815	67,229
Other revenues	3,438,637	3,272,005	3,547,653	3,598,092
Total local sources	22,711,657	23,984,440	21,951,902	22,709,968
State sources:				
Statewide sales, services and use tax	-	-	3,668,835	4,067,504
State foundation aid and state grants	18,487,056	19,450,611	21,968,271	22,963,212
Total state sources	18,487,056	19,450,611	25,637,106	27,030,716
Federal sources, federal grants	1,350,925	698,506	798,107	851,012
Total revenues	$ 42,549,638	$ 44,133,557	$ 48,387,115	$ 50,591,696

Source: District financial records

Fiscal Year					
2016	2017	2018	2019	2020	2021
$ 19,769,450	$ 21,662,607	$ 21,654,493	$ 22,705,763	$ 23,304,617	$ 25,068,564
-	-	-	-	-	-
87,857	124,520	229,390	151,685	599,831	796,576
3,606,539	3,287,108	3,910,439	3,952,799	3,303,074	3,443,555
23,463,846	25,074,235	25,794,322	26,810,247	27,207,522	29,308,695
4,182,214	4,333,461	4,415,088	5,059,769	5,215,928	5,117,291
25,572,441	26,985,461	28,762,094	29,773,918	31,147,243	33,221,454
29,754,655	31,318,922	33,177,182	34,833,687	36,363,171	38,338,745
904,035	872,011	941,058	1,012,883	923,013	1,991,226
$ 54,122,536	$ 57,265,168	$ 59,912,562	$ 62,656,817	$ 64,493,706	$ 69,638,666

Pleasant Valley Community School District

Governmental Funds Expenditures and Debt Service Ratio
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2012	2013	2014	2015
Instruction	$ 25,271,552	$ 26,410,652	$ 28,708,400	$ 30,012,492
Student services	1,141,984	1,351,144	1,612,251	1,653,333
Instructional staff services	1,704,452	1,516,098	1,747,264	1,837,349
Administration services	3,496,290	3,577,108	3,955,941	4,043,845
Operation and maintenance of plant	2,575,190	2,699,383	3,198,034	3,207,753
Transportation services	1,362,563	1,285,740	1,346,380	1,368,313
Noninstructional programs	24,476	17,808	18,959	20,941
Capital outlay, facilities acquisition	6,914,507	6,185,583	4,664,562	3,747,432
AEA flowthrough	1,380,061	1,476,199	1,638,338	1,744,881
Debt service:				
Principal	1,050,000	2,075,000	3,700,000	2,000,000
Interest and fiscal charges	13,174	2,774	10,268	1,798
Total expenditures	$ 44,934,249	$ 46,597,489	$ 50,600,397	$ 49,638,137
Debt service as a percentage of noncapital expenditures	2.81%	5.09%	7.98%	4.31%

Source: District financial records

Fiscal Year					
2016	2017	2018	2019	2020	2021
$ 32,013,799	$ 32,861,581	$ 35,464,968	35,574,571	$ 36,542,961	$ 39,113,467
1,805,292	1,921,235	2,066,131	2,140,443	2,081,854	1,907,354
3,217,189	3,487,286	3,648,615	3,847,717	4,036,280	4,029,453
4,209,472	4,466,699	4,750,539	4,860,451	4,818,158	5,140,249
3,040,088	3,307,042	3,491,192	3,731,218	3,501,291	3,729,238
1,687,983	1,809,887	1,932,688	1,987,324	1,948,687	1,957,462
42,924	33,911	23,618	21,855	24,256	23,195
10,084,680	13,587,047	17,072,274	9,136,619	10,592,542	9,757,645
1,826,774	1,901,900	2,056,304	2,156,919	2,259,331	2,375,720
-	1,590,000	2,840,000	2,979,691	5,138,397	5,266,348
206,613	471,868	623,732	1,455,077	1,383,494	1,263,003
$ 58,134,814	$ 65,438,456	$ 73,970,061	$ 67,891,885	$ 72,327,251	$ 74,563,134
0.42%	3.95%	6.05%	7.46%	10.52%	10.03%

Pleasant Valley Community School District

Other Financing Sources and Uses and Net Change in Fund Balances
Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2012	2013	2014	2015
Excess (deficiency) of revenues over (under) expenditures	$ (2,384,611)	$ (2,463,932)	$ (2,213,282)	$ 953,559
Other financing sources (uses):				
Sale of capital assets	3,015	502	11,367	3,007
Issuance of debt	2,250,000	2,975,000	3,600,000	-
Transfers in	1,151,042	2,177,774	3,809,488	2,151,798
Transfers out	(1,051,542)	(2,077,774)	(3,709,488)	(2,001,798)
Total other financing sources (uses)	2,352,515	3,075,502	3,711,367	153,007
Net change in fund balances	$ (32,096)	$ 611,570	$ 1,498,085	$ 1,106,566

Source: District financial records

Fiscal Year					
2016	2017	2018	2019	2020	2021
$ (4,012,278)	$ (8,173,288)	$ (14,057,499)	$ (5,235,067)	$ (7,833,545)	$ (4,924,468)
2,361	380	10,842	60,000	-	5,975
10,000,000	10,000,000	10,348,838	32,081,801	-	-
716,187	1,736,826	3,182,554	5,306,374	5,942,616	6,670,799
(686,162)	(1,705,873)	(2,965,698)	(5,174,599)	(5,817,595)	(6,457,018)
10,032,386	10,031,333	10,576,536	32,273,576	125,021	219,756
$ 6,020,108	$ 1,858,045	$ (3,480,963)	$ 27,038,509	$ (7,708,524)	$ (4,704,712)

Pleasant Valley Community School District

Taxable Value of Property
Last Ten Fiscal Years
(Unaudited)

	Actual Value				
Fiscal Year	Residential Property	Commercial Property	Other Property	Utilities (Gas & Elec Only	TIF
2012	$ 772,720,063	$ 214,183,141	$ 42,063,147	$ 46,828,138	$ 108,386,363
2013	855,055,343	227,252,979	41,356,824	46,216,110	110,259,095
2014	918,634,549	217,741,000	42,290,592	46,159,038	115,685,645
2015	976,952,195	229,658,580	34,879,246	53,017,223	120,798,737
2016	1,043,403,312	216,939,941	33,507,263	58,484,070	133,372,143
2017	1,133,691,222	225,859,477	32,387,728	58,731,748	146,892,381
2018	1,208,406,161	223,487,266	32,781,704	55,030,720	158,345,603
2019	1,311,230,225	232,770,807	38,114,319	54,463,164	134,836,020
2020	1,401,196,722	234,433,916	38,723,408	52,827,278	133,107,413
2021	1,428,289,294	251,200,079	37,035,470	50,758,578	149,366,560

Source: Iowa Department of Management and Scott County Auditor.

Notes: Property is assessed on a calendar year basis. The assessments finalized as of January 1 of each year are applied to the second fiscal year following the tax assessment year.

(a) Per $1,000 of taxable value.

Less Exemptions	Total Taxable Value - Actual	Total Direct Rate (a)
$ 2,246,015	1,181,934,837	14.73830
2,240,917	1,277,899,434	14.64092
2,202,204	1,338,308,620	14.74093
2,198,321	1,413,107,660	14.49409
2,316,852	1,483,389,877	14.34409
2,285,368	1,595,277,188	14.14425
2,252,032	1,675,799,422	13.95589
2,248,328	1,769,166,207	13.65587
2,211,288	1,858,077,449	13.41138
2,185,360	1,914,464,621	13.78152

Pleasant Valley Community School District

Direct and Overlapping Property Tax Rates
Last Ten Fiscal Years
(rate per $1,000 of taxable value)
(Unaudited)

	District Direct Rates			
Fiscal Year	General Purposes	Capital Purposes	Debt Service	Total
2012	13.06829	1.67000	-	14.73829
2013	12.97092	1.67000	-	14.64092
2014	13.07093	1.67000	-	14.74093
2015	12.82409	1.67000	-	14.49409
2016	12.67409	1.67000	-	14.34409
2017	12.47425	1.67000	-	14.14425
2018	12.28589	1.67000	-	13.95589
2019	11.98587	1.67000	-	13.65587
2020	11.74138	1.67000	-	13.41138
2021	12.11152	1.67000	-	13.78152

Source: Iowa Department of Management and Scott County Auditor.

Overlapping Rates					
Scott County	College Area IX	City of Bettendorf	City of Leclaire	City of Panarama Park	City of Riverdale
6.37759	1.01724	12.60000	15.07379	5.51713	7.00244
6.30000	0.91511	12.55000	14.69999	5.47320	10.55647
6.23534	0.92043	12.55000	14.47264	5.26743	10.55525
6.13204	0.92782	12.55000	14.47264	5.26550	12.21629
6.00377	0.96863	12.55000	14.29804	5.79870	11.90048
5.82228	1.00909	12.55000	14.29798	5.80468	11.99199
5.82167	1.03000	12.50000	13.92602	5.80424	11.99735
5.82167	1.03000	12.50000	13.64999	5.80408	11.84593
5.99401	0.99000	12.50000	13.35596	5.80405	9.39248
6.21304	0.82406	12.80000	13.09828	5.97332	9.39665

Pleasant Valley Community School District

Principal Property Tax Payers
Current Year and Nine Years Ago
(Unaudited)

	2021			2012		
Name of Taxpayer	Taxable Value	Rank	Percentage of Total Taxable Value	Taxable Value	Rank	Percentage of Total Taxable Value
Mid-American Energy	$ 52,891,137	1	2.5%			
Arconic Davenport LLC	39,556,136	2	1.8%	$ 39,529,860	1	3.0%
The Bettplex LLC	22,650,579	3	1.1%	-		
Continental 203 Fund LLC	19,316,671	4	0.9%			
Iowa American Water Company	12,570,668	5	0.6%	6,471,964	8	0.5%
Pebble Creek Borrower 2021 LLC	11,739,478	6	0.5%			
First Equity Management L C	10,850,688	7	0.5%	11,434,230	2	0.9%
Northern Border Pipeline Company	10,598,552	8	0.5%	10,541,832	3	0.8%
Olympic Steel Iowa Inc	9,277,425	9	0.4%	9,171,760	4	0.7%
Chateau Knoll LLC	9,147,953	10	0.4%	8,136,050	6	0.6%
Bettendorf Regency Apartments				8,701,290	5	0.7%
Lindquist Real Estate Partners				6,085,820	9	0.5%
Alter Trading Corp				7,927,580	7	0.6%
Sodarock Properties LLC				5,601,517	10	0.4%
Total	$ 198,599,287		9.3%	$ 113,601,903		8.5%
Total Taxable Value	$ 2,145,448,041			$ 1,338,308,620		

Source: Scott County Auditor

Pleasant Valley Community School District

Property Tax Levies and Collections
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	Taxes Levied for the Fiscal Year	Collected Within the Fiscal Year of the Levy		Collections In Subsequent Years	Total Collections to Date	
		Amount	Percentage of Levy		Amount	Percentage of Levy
2012	$ 16,003,277	$ 16,001,235	99.99%	$ 2,042	$ 16,003,277	100.00%
2013	17,279,461	17,252,573	99.84%	107	$ 17,252,680	99.85%
2014	18,351,942	18,347,585	99.98%	4,357	$ 18,351,942	100.00%
2015	19,075,701	19,036,014	99.79%	5,369	$ 19,041,383	99.82%
2016	19,743,499	19,726,000	99.91%	2,892	$ 19,728,891	99.93%
2017	20,900,338	20,875,864	99.88%	1,894	$ 20,877,757	99.89%
2018	21,622,918	21,622,918	100.00%	5,600	$ 21,622,918	100.00%
2019	22,695,843	22,675,780	99.91%	4,353	$ 22,680,133	99.93%
2020	23,505,437	23,268,087	98.99%	-	$ 23,268,087	98.99%
2021	24,783,708	24,783,708	100.00%	-	$ 24,783,708	100.00%

Source: Iowa Department of Management, Scott County Auditor and School District financial records.

Note: N/A = not available.

Pleasant Valley Community School District

Outstanding Debt by Type
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	General Obligation Note	Capital Leases	Revenue Bonds	Total Primary Government	Percentage of Personal Income	Per Capita
2012	$ 1,200,000	$ -	$ -	$ 1,200,000	0.2%	57
2013	2,100,000	-	-	2,100,000	0.3%	104
2014	2,000,000	-	-	2,000,000	0.3%	95
2015	-	-	-	-	-	-
2016	-	-	10,000,000	10,000,000	1.3%	466
2017	-	-	18,410,000	18,410,000	2.1%	833
2018	-	348,838	25,570,000	25,918,838	N/A	N/A
2019	18,037,621	259,147	36,680,000	54,976,768	N/A	2,392
2020	16,258,441	175,750	33,360,000	49,794,191	N/A	N/A
2021	14,424,261	89,402	29,970,000	44,483,663	N/A	N/A

Source: District financial records

N/A = not available.

Pleasant Valley Community School District

Ratio of Net Bonded Debt to Assessed Values
Last Ten Fiscal Years
(Unaudited)

Year of Collection	Actual Value of Taxable Property	Total Primary Government Outstanding Debt	Net Bonded Debt	Amount Restricted for Repayment of Outstanding Debt	Ratio of Net Bonded Debt to Taxable Value	Net Bonded Debt Per Capita
2011-12	$ 1,181,934,837	$ 2,100,000	$ -	$ -	-	$ -
2012-13	1,277,899,434	2,000,000	-	-	-	-
2013-14	1,338,308,620	-	-	-	-	-
2014-15	1,413,107,660	10,000,000	-	-	-	-
2015-16	1,483,389,877	10,000,000	-	594,338	-	-
2016-17	1,595,277,188	18,410,000	-	381,144	-	-
2017-18	1,675,799,422	25,918,838	-	22,455	-	-
2018-19	1,769,166,207	54,976,768	18,037,621	1,059,583	1.0%	785
2019-20	1,858,077,449	49,794,191	16,258,441	373,438	0.9%	N/A
2020-21	1,914,464,621	44,483,663	14,424,261	289,304	0.8%	N/A

Source: Iowa Department of Management, Scott County Auditor and School District financial records.

Notes: Details of the District's outstanding debt can be found in Note 5 in the notes to the financial statements.

N/A = not available.

Pleasant Valley Community School District

Legal Debt Margin Information
Last Ten Fiscal Years
(Unaudited)

	2012	2013	2014	2015
Legal Debt Margin Calculation				
Assessed value	$ 2,101,091,820	$ 2,212,983,838	$ 2,266,008,915	$ 2,355,418,130
Debt limit (5% of assessed value)	105,054,591	110,649,192	113,300,446	117,770,907
Debt applicable to limit	1,200,000	2,100,000	2,000,000	-
Legal debt margin	$ 103,854,591	$ 108,549,192	$ 111,300,446	$ 117,770,907
Total net debt applicable to the limit as a percentage of debt limit	1.14%	1.90%	1.77%	0.00%

Source: Iowa Department of Management, Scott County Auditor's Office and School District financial records.

Legal Debt Margin Calculation for Fiscal Year 2021

Assessed value	$ 3,275,467,091
Debt limit (5% of assessed value)	$ 163,773,355
Debt applicable to limit	44,483,663
Legal debt margin	$ 119,289,692

2016	2017	2018	2019	2020	**2021**
$ 2,469,017,594	$2,676,942,475	$2,777,879,736	$2,999,567,470	$3,102,841,240	**$3,275,467,091**
123,450,880	133,847,124	138,893,987	149,978,374	155,142,062	**163,773,355**
10,000,000	18,410,000	25,918,838	54,976,768	49,794,191	**44,483,663**
$ 113,450,880	$ 115,437,124	$ 112,975,149	$ 95,001,606	$ 105,347,871	**$ 119,289,692**
8.10%	13.75%	18.66%	36.66%	32.10%	**27.16%**

Pleasant Valley Community School District

Direct and Overlapping Governmental Activities Debt
As of June 30, 2021
(Unaudited)

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable*	Estimated Share of Direct and Overlapping Debt
Scott County	$ 30,475,398	19.99%	$ 6,091,080
Eastern Iowa Community College	28,325,000	12.05%	3,413,435
City of Bettendorf	135,432,000	50.34%	68,172,335
City of LeClaire	24,756,249	100.00%	24,756,249
City of Riverdale	75,000	99.65%	74,735
Subtotal, overlapping debt			102,507,834
District direct debt			14,424,261
Total direct and overlapping debt			$ 116,932,095

Source: Scott County Auditor.

Notes:
Overlapping governments are those that coincide, at least in part, with the geographic boundaries of the District. This statistical page estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the District. This process recognizes that when considering the District's ability to issue and repay long-term debt, the entire debt burden borne by the residents and business should be taken into account. However, this does not imply that every taxpayer is a resident, and therefore responsible for repaying the debt, of each overlapping government.

* The percentage of overlapping debt applicable is estimated using taxable property values. Applicable percentages were estimated by determining the portion of another governmental unit's taxable value that is within the District's boundaries and dividing it by each unit's total taxable value. (Calculated by dividing the amount of the value applicable to the District by the total value for that taxing authority; 2019 assessed values are used.)

Pleasant Valley Community School District

Pledged Revenue Coverage
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	Revenue Bonds Revenue	Debt Service Principal	Debt Service Interest	Coverage
2012	NA	NA	NA	NA
2013	NA	NA	NA	NA
2014	NA	NA	NA	NA
2015	NA	NA	NA	NA
2016	4,182,214	-	92,956	44.99
2017	4,333,461	1,590,000	329,694	2.26
2018	4,415,088	2,840,000	485,652	1.33
2019	5,037,297	2,540,000	299,810	1.77
2020	5,215,928	3,320,000	843,026	1.25
2021	5,117,291	3,390,000	777,884	1.23

Source: District financial records

Notes: Details regarding the District's outstanding debt can be found in Note 5 of the notes to the financial statements.

These bonds are backed by a one-cent statewide sales, service and use tax

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Pleasant Valley Community School District

Demographic and Economic Statistics
Last Ten Calendar Years
(Unaudited)

Calendar Year	Population (a)	Personal Income (b) (Thousands of Dollars)	Per Capita Personal Income	Scott County Area Unemployment Rate (c) *
2012	21,161	$ 696,396,280	32,427	5.8%
2013	20,099	686,181,820	36,206	5.7%
2014	20,977	727,705,092	36,656	5.3%
2015	21,288	768,940,606	36,236	4.7%
2016	21,438	771,396,005	39,996	4.6%
2017	22,101	857,428,967	40,228	3.7%
2018	N/A	889,086,936	N/A	3.1%
2019	22,980	931,566,012	40,538	3.3%
2020	N/A	N/A	N/A	7.1%
2021	N/A	N/A	N/A	5.3%

Source:
(a) U.S. Census Bureau
(b) Iowa Department of Revenue
(c) Iowa Workforce Development

Notes: N/A = not available.
* Based on a ten-month period, January through October.

Pleasant Valley Community School District

Full-Time Equivalent District Employees By Type
Last Ten Fiscal Years
(Unaudited)

	Full-Time Equivalent Employees as of June 30			
	2012	2013	2014	2015
Supervisory:				
Superintendent	1.0	1.0	1.0	1.0
Principals	7.0	7.0	7.0	7.0
Assistant principals	5.0	5.0	5.0	5.0
District secretary	0.4	0.4	0.4	0.4
Business Manager	1.0	1.0	1.0	1.0
Other officials/administrators	1.0	1.0	2.0	2.0
Total supervisory	15.4	15.4	16.4	16.4
Instruction:				
Classroom teachers	199.5	201.6	215.1	217.8
Special education teachers	30.0	28.3	28.1	27.3
Special programs	16.2	19.8	22.3	29.2
Vocational teachers	8.2	8.0	8.0	6.8
Teacher aides	54.0	55.8	58.8	62.8
Instructional technology technicians	2.3	2.3	3.3	3.2
Total instruction	310.1	315.7	335.6	347.2
Student services:				
Social workers	1.0	1.0	1.0	1.0
Counselors	9.5	12.2	12.6	12.6
Library/media specialists	5.5	5.5	5.5	5.5
Nurses	4.6	5.0	5.6	5.6
Total student services	20.6	23.6	24.7	24.7
Support and administration:				
Other support services	-	-	-	-
Office/clerical personnel	29.3	27.5	28.3	28.5
Other professional employees	1.0	1.0	1.5	1.5
Technology specialist	2.0	2.0	2.0	2.0
Crafts and trades personnel	3.0	3.0	4.0	3.5
Laborers	1.0	1.0	1.0	1.5
Service workers	42.0	43.1	44.1	43.8
Operative personnel	1.6	1.7	1.7	1.7
Total support and administration	79.9	79.3	82.6	82.5
Total	425.9	434.0	459.2	470.7

Source: District financial records

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Full-Time Equivalent Employees as of June 30						Percentage Change
2016	2017	2018	2019	2020	2021	2012 - 2021
1.0	1.0	1.0	1.0	1.0	1.0	0%
7.0	7.0	7.0	7.0	7.0	7.0	0%
5.0	5.0	5.0	5.4	5.5	7.0	40%
-	-	-				-100%
1.0	1.0	1.0	1.0	1.0	1.0	0%
3.0	3.0	3.0	3.6	3.7	1.6	60%
17.0	17.0	17.0	18.0	18.2	17.6	14%
233.4	239.5	244.1	247.3	252.2	256.3	28%
28.6	29.0	29.3	30.4	34.8	36.8	22%
19.5	20.5	21.6	22.9	21.3	25.3	56%
7.6	8.5	9.0	8.8	8.5	8.8	8%
60.7	66.5	68.7	71.5	84.3	75.7	40%
3.3	3.0	3.0	3.0	3.0		-100%
352.9	367.0	375.7	383.9	404.0	402.8	30%
1.0	1.0	1.0	1.0	1.0	-	-100%
14.0	13.0	14.0	14.2	14.2	13.6	43%
6.0	7.0	7.0	7.0	7.0	7.0	27%
6.6	6.6	6.9	6.9	6.9	7.0	53%
27.6	27.6	28.9	29.0	29.1	27.6	34%
10.0	10.0	12.0	14.0	13.5	21.4	100%
28.4	31.3	32.8	30.0	27.4	30.6	5%
2.5	3.5	3.5	2.0	2.0	4.0	300%
2.0	3.0	3.0	3.0	3.0	5.0	150%
4.0	3.0	4.0	3.0	5.5	4.9	63%
2.0	2.0	2.0	2.0	2.0	2.0	100%
46.0	44.1	45.9	50.4	48.8	49.9	19%
1.7	1.7	1.2	3.0	3.0	1.7	6%
96.5	98.6	104.3	107.4	105.2	119.5	50%
494.1	510.2	525.9	538.4	556.5	567.5	33%

Pleasant Valley Community School District

Operating Statistics
Last Ten Fiscal Years
(Unaudited)

Fiscal Year	Certified Enrollment	Operating Expenditures	Cost Per Pupil	Percentage Change
2012	3,960	$ 34,974,438	$ 8,832	3.67%
2013	4,230	36,437,868	8,614	-2.47%
2014	4,289	39,900,129	9,304	8.01%
2015	4,386	41,559,208	9,475	1.84%
2016	4,532	45,391,590	10,016	5.71%
2017	4,746	47,415,560	9,991	-0.26%
2018	4,922	50,735,977	10,308	3.18%
2019	5,037	52,142,032	10,352	0.43%
2020	5,128	53,008,239	10,337	-0.14%
2021	5,244	55,962,993	10,672	3.24%

Source: Nonfinancial information from District records. District financial records.

Governmental Expenditures	Cost Per Pupil	Percentage Change	Teaching Staff	Pupil-Teacher Ratio	Percentage of Students Receiving Free or Reduced Price Meals
$ 38,956,243	$ 9,838	5.12%	280	7.07%	11.00%
41,114,972	9,720	-1.20%	295	6.97%	12.00%
45,453,563	10,599	9.04%	303	7.07%	11.00%
45,224,769	10,311	-2.72%	303	6.91%	11.00%
58,134,814	12,828	24.41%	321	7.08%	12.00%
65,438,456	13,788	7.48%	320	6.74%	12.00%
73,970,061	15,028	8.99%	326	6.62%	11.00%
67,891,884	13,479	-10.31%	336	6.67%	11.91%
72,327,251	14,104	4.64%	342	6.67%	11.97%
62,058,872	11,834	-16.10%	351	6.69%	12.00%

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Pleasant Valley Community School District

Principal Employers
Current Year and Nine Years Ago
(Unaudited)

	2021			2012		
Employer	Employees	Rank	Percentage of Total Employment	Employees	Rank	Percentage of Total Employment
Scott County						
Davenport Community School District	2,500	1	3.0%			
John Deere Davenport Works	2,000	2	2.4%			
Arconic	2,000	3	2.4%			
Genesis Medical Ctr. (all Scott Co Locat	1,574	4	1.9%			
Tri City Engineering & Integration	1,200	5	1.4%			
Elite Casino Resorts LLC	1,000	6	1.2%			
Cobham Mission Equipment	900	7	1.1%			
City of Davenport	800	8	1.0%			
Directv / ATT	600	9	0.7%			
Bettendorf Event Center	600	10	0.7%			
Genesis Health System		1		3,000		3.7%
Alcoa		2		2,513		3.1%
Kraft Foods (Oscar Mayer)		3		1,200		1.5%
MidAmerican Energy		4		1,200		1.5%
APAC Customer Service Inc.		5		800		1.0%
Von Maur		6		650		0.8%
UPS Distribution		7		500		0.6%
Von Hoffman Graphics		8		445		0.5%
Nestle Purina Pet Care Co.		9		380		0.5%
Eagle Food Distribution		10		379		0.5%

Source: Scott County, Iowa Annual Comprehensive Financial Report for Fiscal Year Ended June 30, 2021

Pleasant Valley Community School District

School Building Information
Last Ten Fiscal Years
(Unaudited)

School	Fiscal Year 2012	2013	2014	2015
Pleasant View				
Square feet	78,343	78,343	78,343	80,913
Capacity*	850	850	850	850
Enrollment	611	653	628	638
Playgrounds	2	2	2	2
Hopewell				
Square feet	64,180	64,180	64,180	64,180
Capacity*	900	900	900	900
Enrollment	297	323	396	468
Playgrounds	1	1	1	1
Cody				
Square feet	45,090	45,090	45,090	45,090
Capacity*	550	550	550	550
Enrollment	307	311	317	315
Playgrounds	1	1	1	1
Bridgeview				
Square feet	47,980	47,980	47,980	47,980
Capacity*	450	450	450	450
Enrollment	328	343	347	342
Playgrounds	2	2	2	2
Riverdale Heights				
Square feet	84,195	84,195	84,195	84,195
Capacity*	800	800	800	800
Enrollment	646	661	620	642
Playgrounds	2	2	2	2
Forest Grove				
Square feet	n/a	n/a	n/a	n/a
Capacity*	n/a	n/a	n/a	n/a
Enrollment	n/a	n/a	n/a	n/a
Playgrounds	n/a	n/a	n/a	n/a
Jr. High				
Square feet	112,405	112,405	112,405	112,405
Capacity*	1,050	1,050	1,050	1,050
Enrollment	608	661	701	672
Playgrounds	-	-	-	-
High School				
Square feet	258,304	258,304	258,304	258,304
Capacity*	1,975	1,975	1,975	1,975
Enrollment	1,221	1,250	1,264	1,307
Playgrounds	-	-	-	-

Source: District records.

Notes: * Capacity calculation is number of possible classrooms times maximum of 25 students each

Fiscal Year					
2016	2017	2018	2019	2020	2021
80,913	80,913	81,513	81,513	81,513	81,513
850	850	925	925	925	925
632	632	651	713	713	673
2	2	2	2	2	2
64,180	64,180	64,180	80,486	80,486	80,486
900	900	900	875	875	875
545	545	650	709	709	696
1	1	1	2	2	2
54,709	54,709	60,897	70,060	70,060	70,060
625	625	675	700	700	700
320	320	361	394	394	445
1	1	1	1	1	1
54,654	54,654	54,654	55,254	55,254	55,254
575	575	575	600	600	600
383	383	391	407	407	366
2	2	2	2	2	2
84,195	84,195	84,195	84,195	84,195	84,195
800	800	950	950	950	950
634	634	636	680	680	659
2	2	2	2	2	2
n/a	n/a	n/a	n/a	n/a	84,195
n/a	n/a	n/a	n/a	n/a	950
n/a	n/a	n/a	n/a	n/a	-
n/a	n/a	n/a	n/a	n/a	2
137,937	137,937	141,777	144,719	144,719	144,719
1,300	1,300	1,325	1,325	1,325	1,325
668	668	745	844	844	824
-	-	-	-	-	-
258,304	258,304	353,711	374,704	374,704	374,704
1,975	1,975	2,300	2,300	2,300	2,300
1,338	1,338	1,442	1,540	1,540	1,541
-	-	-	-	-	-

Pleasant Valley Community School District

Average Salary by Education Level
Last Ten Fiscal Years
(Unaudited)

Education Level	Fiscal Year 2012	2013	2014	2015
BA				
Total FTE	53.93	50.97	58.90	61.90
Average salary	36,000	37,278	39,158	39,121
BA + 10				
Total FTE	20.00	15.00	24.00	27.00
Average salary	43,801	46,213	45,412	45,400
BA +20				
Total FTE	39.00	43.50	37.20	34.83
Average salary	50,143	49,470	51,761	53,297
MA				
Total FTE	55.50	57.00	57.70	57.70
Average salary	49,884	50,094	51,241	51,279
MA + 10				
Total FTE	40.00	39.00	40.00	39.00
Average salary	56,442	57,774	59,974	59,736
MA + 20				
Total FTE	20.00	27.00	27.00	26.00
Average salary	59,198	60,662	63,459	64,688
MA +30				
Total FTE	44.83	47.83	52.43	59.35
Average salary	62,659	64,324	65,592	65,028
Grand total FTE	273.26	280.30	297.23	305.78
Total average salary	50,473	51,974	53,258	53,416

Source: District personnel records.

Notes:
Full-time instructional employees of the District are employed for all 192 work days, at eight hours per day or 1,536 hours per year. This schedule includes the local instructional salary schedule only. Not included are state appropriations to increase salaries, i.e., Teacher Quality or Phase II Funds.

Fiscal Year					
2016	2017	2018	2019	2020	2021
65.83	66.50	62.00	57.00	63.00	72.00
39,720	40,822	41,297	41,135	41,996	42,411
27.00	21.33	21.33	18.34	20.33	18.33
45,918	48,135	48,655	50,866	50,521	51,141
40.00	41.00	44.00	47.00	38.00	41.00
52,435	53,220	53,865	52,631	56,463	56,025
62.79	72.88	76.69	80.80	96.26	87.96
52,252	53,461	54,254	53,814	54,563	56,597
42.00	38.00	35.00	36.59	28.09	37.00
60,762	62,138	62,238	60,746	62,150	63,148
25.00	30.00	30.00	30.00	26.00	25.40
65,390	66,154	67,941	67,808	67,983	67,195
62.00	66.00	74.42	81.50	86.59	87.00
66,649	67,734	69,617	69,201	70,945	72,955
324.62	335.71	343.44	351.23	358.26	368.69
54,069	52,284	56,855	55,594	58,044	58,740

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Compliance

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Pleasant Valley Community School District

Schedule of Expenditures of Federal Awards
Year Ended June 30, 2021

Federal Grantor/Pass-Through Grantor/ Program Title or Cluster Title	Assistance Listing Number	Pass-Through Entity Identifying Number	Passed Through to Subrecipients	Total Federal Expenditures	
Indirect:					
U.S. Department of Agriculture:					
Iowa Department of Education:					
Child Nutrition Cluster Programs:					
COVID-19 Child Nutrition Program					
CARES Grants to States	10.555	FY21 4056	$ -	$ 70,666	
Commodities -DOD (Noncash)	10.555	FY21	-	99,999	
Commodities (Noncash)	10.555	FY21	-	73,313	
			-	243,978	
Summer Food Service Program for Children	10.559	FY21 4556	-	1,552,562	
Total Child Nutrition Cluster, U.S. Department of Agriculture			-	1,796,540	
U.S. Department of Treasury:					
Eastern Iowa Mental Health:					
COVID-19 Coronavirus Relief Fund	21.019	FY21 4059	-	27,000	
Iowa Workforce Development:					
COVID-19 Coronavirus Relief Fund	21.019	FY21 4059	-	47,500	
Total U.S. Department of Treasury			-	74,500	
U.S. Department of Education:					
Iowa Department of Education:					
Title I Grants to Local Educational Agencies	84.010	FY21 4501	-	110,595	
Special Education- State Personnel					
Development Grants	84.323	FY21 4526	-	9,637	
English Language Acquisition State Grants	84.365	FY21 4644	-	5,823	
Supporting Effective Instruction State Grant	84.367	FY21 4643	-	55,858	
Special Education Cluster (IDEA):					
Special Education - Grants to States Part B	84.027	FY21 4643	-	23,114	(1)
Title IV Student Support Academic Enrichment	84.424	FY21 4669	-	3,360	
Education Stabilization Fund:					
COVID-19 Governor's Emergency Education					
Relief (GEERF) Fund	84.425C	FY21 4051	-	166,000	
COVID-19 Elementary and Secondary					
School Emergency Relief (ESSER I) Fund	84.425D	FY21 4052	-	108,202	
COVID-19 Elementary and Secondary					
School Emergency Relief (ESSER II) Fund	84.425D	FY21 4055	-	366,761	
			-	474,963	
COVID-19 Elementary and Secondary					
School Emergency Relief (ESSER III) Fund	84.425U	FY21 4043	-	10,825	
COVID-19 Elementary and Secondary					
School Emergency Relief (ESSER III) Fund	84.425U	FY21 4045	-	112,640	
			-	123,465	
			-	764,428	
Mississippi Bend Area Education Agency:					
Career and Technical Education- Basic Grants to States	84.048	FY21 4531	-	25,000	
Special Education Cluster (IDEA):					
Special Education - Grants to States Part B	84.027	FY21 4521	-	212,627	(1)
Total U.S. Department of Education			-	1,210,442	
Total Expenditures of Federal Awards			$ -	$ 3,081,482	

(1) Total Special Education Cluster, (IDEA) Special Education - Grants to States Part B CFDA 84.027 $235,741.

See notes to schedule of expenditures of federal awards.

Notes to the Schedule of Expenditures of Federal Awards
Year Ended June 30, 2021

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "schedule") includes the federal grant activity of Pleasant Valley Community School District under programs of the federal government for the year ended June 30, 2021. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the schedule presents only a selected portion of the operations of Pleasant Valley Community School District, it is not intended to and does not present the financial position, changes in net position or cash flows of Pleasant Valley Community School District.

Note 2. Summary of Significant Accounting Policies

Expenditures reported on the schedule are reported on the modified accrual or accrual basis of accounting. Such expenditures are recognized following the cost principles in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Revenue from federal awards is recognized when the District has done everything necessary to establish its right to revenue. For governmental funds, revenue from federal awards is recognized when it is both measurable and available. Expenditures of federal awards are recognized in the accounting period when the liability is incurred.

Note 3. Indirect Cost Rate

The District has elected not to use the 10-percent de minimus indirect cost rate allowed under the Uniform Guidance.

Pleasant Valley Community School District

Summary Schedule of Prior Audit Findings
Year Ended June 30, 2021

	Findings	Status	Corrective Action Plan or Other Explanation
IV-G-20	The District identified variances in certified enrollment certified to the state in October 2019.	Corrected.	

525 Belmont Rd, Bettendorf, IA 52722 ◆ 563-332-5550 ◆ Fax 563-332-4372 ◆ www.pleasval.org

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Bohnsack & Frommelt LLP
Certified Public Accountants

Independent Auditor's Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance With *Government Auditing Standards*

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of Pleasant Valley Community School District (the District) as of and for the year ended June 30, 2021, and the related notes to the financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated November 18, 2021.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of Pleasant Valley Community School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2021 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Bohnsack & Frommelt LLP

Moline, Illinois
November 18, 2021

Bohnsack & Frommelt LLP
Certified Public Accountants

Independent Auditor's Report on Compliance For Each Major Federal Program and Report on Internal Control Over Compliance Required by the Uniform Guidance

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

Report on Compliance for Each Major Federal Program

We have audited Pleasant Valley Community School District's (the District) compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2021. The District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility
Management is responsible for compliance with the federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility
Our responsibility is to express an opinion on compliance for each of the District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America, the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance) Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination on the District's compliance.

Opinion on Each Major Federal Program
In our opinion, the District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2021.

Report on Internal Control Over Compliance

Management of the District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or combination of deficiencies, in internal control over compliance such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented or detected and corrected on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Bohnsack & Frommelt LLP

Moline, Illinois
November 18, 2021

Pleasant Valley Community School District

Schedule of Findings and Questioned Costs
Year Ended June 30, 2021

I. Summary of the Independent Auditor's Results

Financial Statements

Type of auditor's report issued: Unmodified

Internal control over financial reporting:

- Material weakness(es) identified? ☐ Yes ☑ No
- Significant deficiency identified? ☐ Yes ☑ None Reported
- Noncompliance material to financial statements noted? ☐ Yes ☑ No

Federal Awards

Internal control over major programs:

- Material weakness(es) identified? ☐ Yes ☑ No
- Significant deficiency identified? ☐ Yes ☑ None Reported

Type of auditor's report issued on compliance for major programs: Unmodified

- Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)? ☐ Yes ☑ No

Identification of major programs:

CFDA Number	Name of Federal Program or Cluster
Education Stabilization Program:	
84.425C	COVID-19 Governor's Emergency Education Relief (GEERF) Fund
84.425D	COVID-19 Elementary and Secondary School Emergency Relief (ESSER I & ESSER II) Fund
84.425U	COVID-19 Elementary and Secondary School Emergency Relief (ESSER III) Fund

Dollar threshold used to distinguish between type A and type B programs: $750,000

Auditee qualified as low-risk auditee? ☑ Yes ☐ No

Part II: Findings Related to the Basic Financial Statements

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Part III: Findings and Questioned Costs for Federal Awards

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Part IV: Other Findings Related to Statutory Reporting

IV-A-21
Certified Budget – Expenditures for the year ended June 30, 2021 did not exceed the amounts budgeted at year-end.

IV-B-21
Questionable Expenditures – No expenditures were noted that we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979.

IV-C-21
Travel Expense – No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-21
Business Transactions – No business transactions between the District and District officials or employees were noted.

IV-E-21
Restricted Donor Activity – No transaction were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa.

IV-F-21
Bond Coverage – Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to insure that the coverage is adequate for current operations.

IV-G-21
Board Minutes – No transactions requiring Board approval which had not been approved by the Board were noted.

IV-H-21
Certified Enrollment – No variances regarding the basic enrollment data certified to the Iowa Department of Education were noted.
(Continued)

IV-I-21
Supplementary Weighting – No variances regarding the supplementary weighting certified to the Iowa Department of Education were noted.

IV-J-21
Deposits and Investments – No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

IV-K-21
Certified Annual Report – The Certified Annual Report was certified to the Iowa Department of Education timely and we noted no significant deficiencies in the amounts reported.

IV-L-21
Categorical Funding – No instances were noted of categorical funding being used to supplant rather than supplement other funds.

IV-M-21
Statewide Sales and Services Tax – No instances of noncompliance with the use of the statewide sales and services tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales and services tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2021, the District reported the following information regarding the statewide sales and services tax revenue in the District's CAR:

Beginning balance	$ 20,243,632
Revenue / transfers in:	
Statewide sales and services tax revenue	5,117,291
Interest and other	731,945
Transfers in	97,931
Expenditures/transfers out:	
Transfers out	5,632,903
School infrastructure	8,341,785
Debt service, fees	2,100
Ending balance	$ 12,214,011

For the year ended June 30, 2021, the District reduced the debt service tax levy by $2.67 per $1,000 of taxable valuation as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.

	Per $1,000 of Taxable Valuation	Property Tax Dollars
Debt service levy	$ 2.67000	$ 5,117,291

Pleasant Valley Community School District

BRIAN STRUSZ, Ed.S.
Superintendent

D. MICHAEL ZIMMER
Director of Secondary Education

CINDY LEWIS, Ed.S.
Director of Elementary Education

Belmont Administration Center

MICHAEL L. CLINGINGSMITH, C.P.A.
Chief Financial Officer

Pleasant Valley Community School District

Corrective Action Plan
Year Ended June 30, 2021

Number	Comment	Corrective Action Plan	Completion	Contact Person

None.

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